Entrepreneurship and Innovation

Who am I?

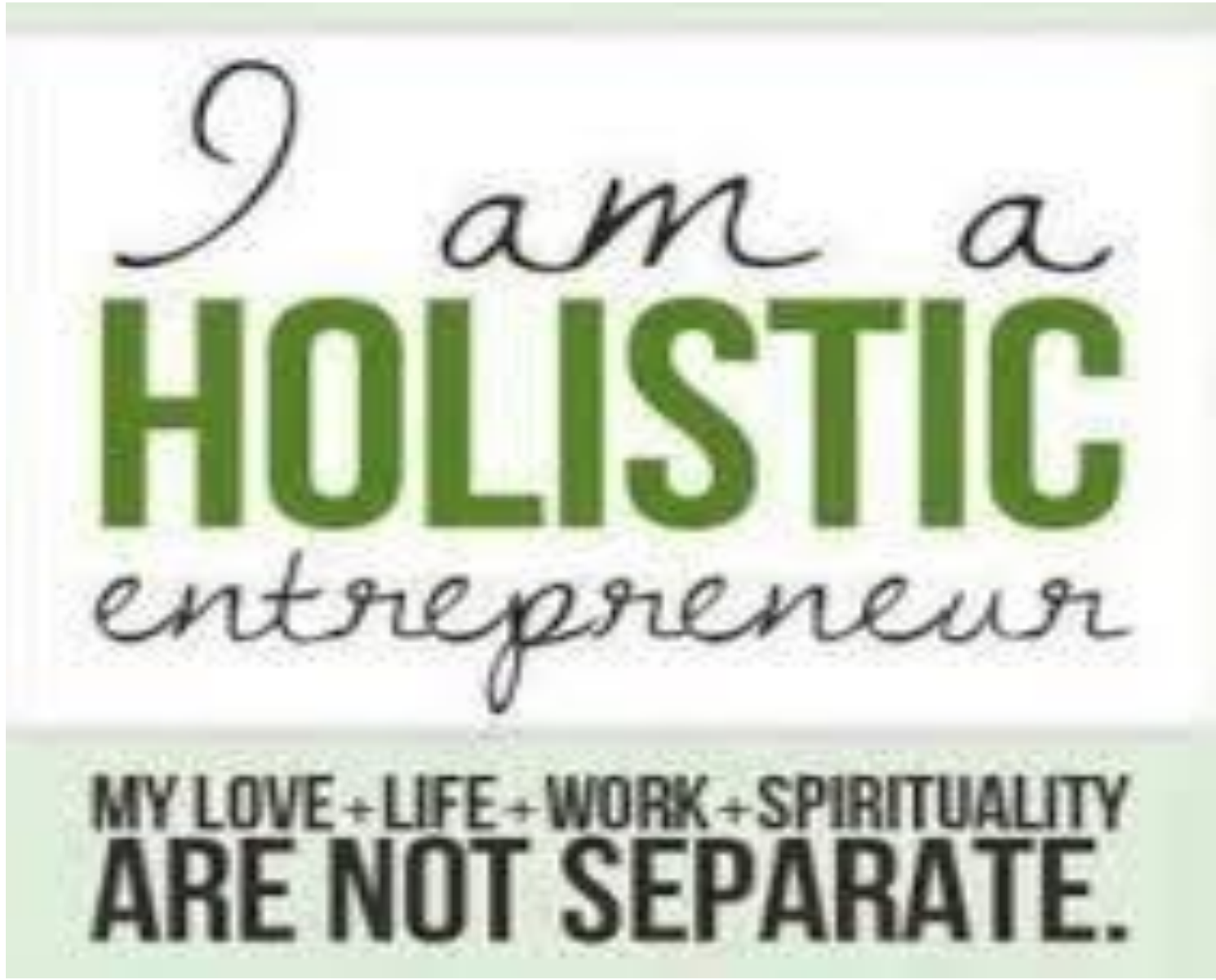
- Hande Sinem Ergun
- Born in Edirne
- 06.06.1976
- 14 year old son
- Professor of Management at Business School
- Responsible from Entrepreneurship and Commercialization Module at MITTO

Who am I?

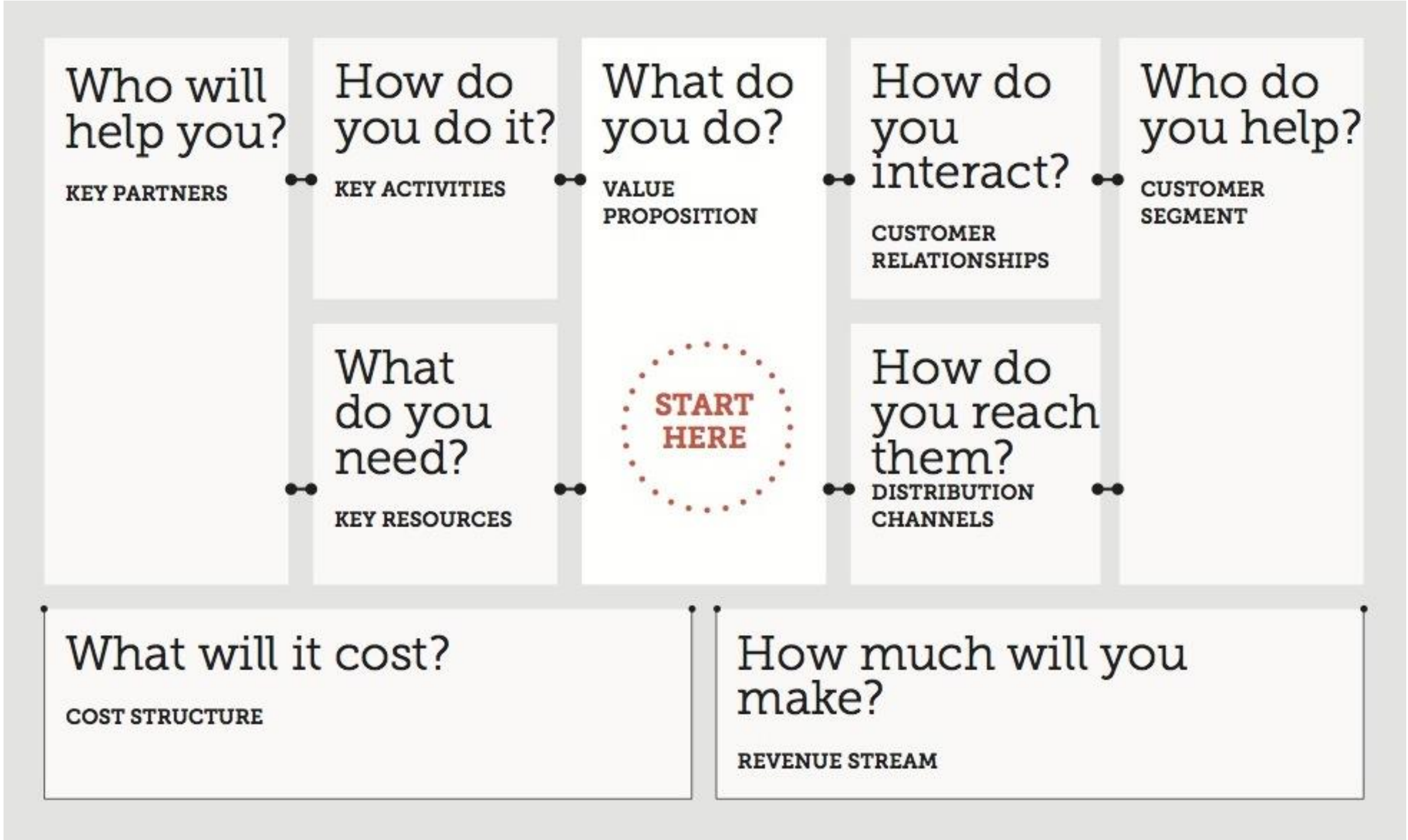
- Feeler
- A heretic mind
- Conditioning and Unlearning Process
- Curious
- Intorverted extravert ☺
- Progressive Communication
- Concious Awareness
- Sensepreneur
- Do not believe in «teaching»
  - I believe in SHARING

Contact..

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- Instagram: handesinemergun
- Twitter: sinemergun

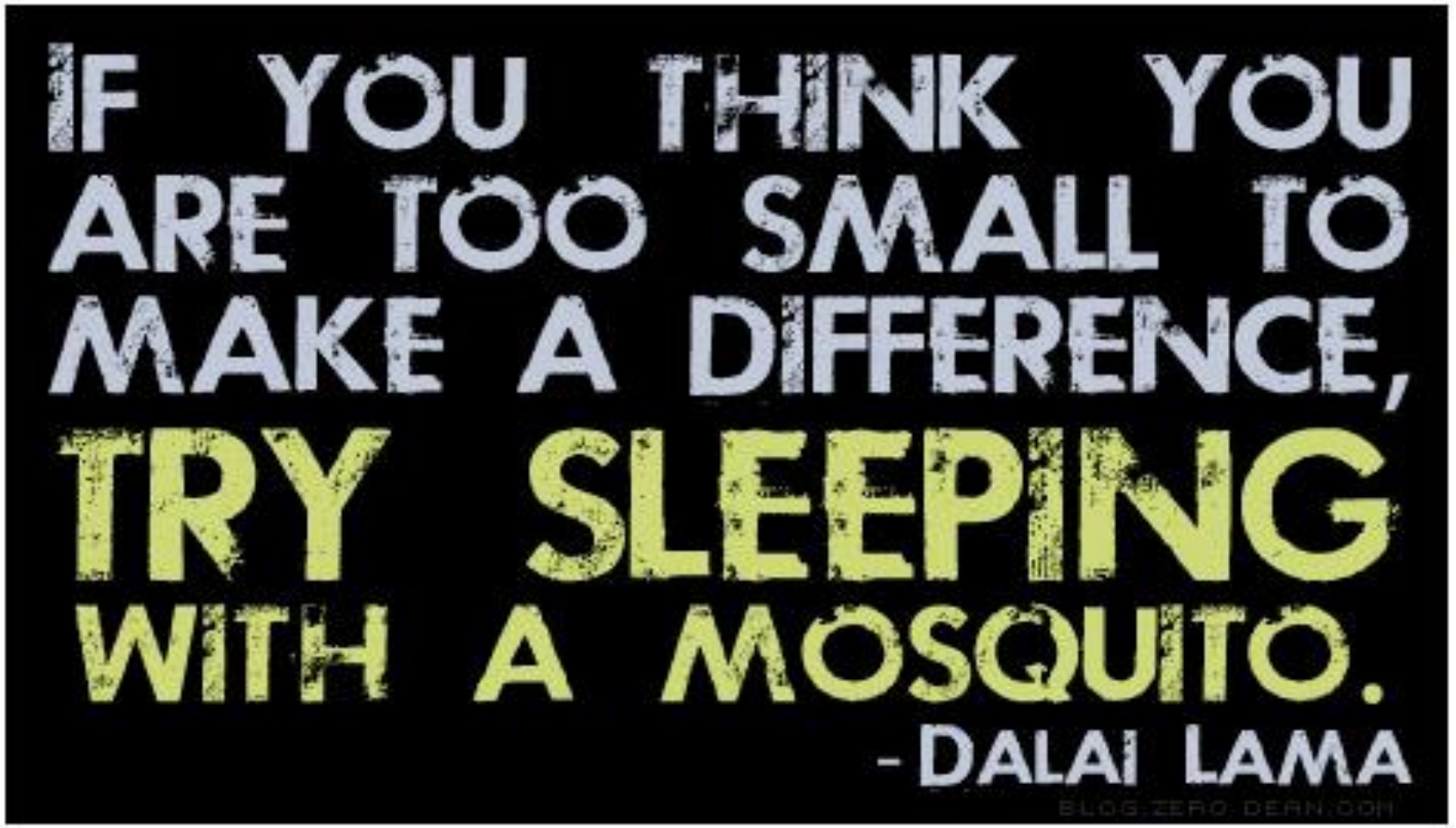

I am a
HOLISTIC
entrepreneur
MY LOVE + LIFE + WORK + SPIRITUALITY
ARE NOT SEPARATE.

- What are your expectations from this course?
- Mini homeworks ☺
- 2 group projects
  - One for mid-term
  - Oner for final
- Presentations


Who will help you?
KEY PARTNERS
How do you do it?
KEY ACTIVITIES
What do you do?
VALUE PROPOSITION
How do you interact?
CUSTOMER RELATIONSHIPS
Who do you help?
CUSTOMER SEGMENT
What do you need?
KEY RESOURCES
START HERE
How do you reach them?
DISTRIBUTION CHANNELS
What will it cost?
COST STRUCTURE
How much will you make?
REVENUE STREAM

- Idea Generation
- Business Model Canvas
- Lean Canvas
- Value Proposition
- Customer Development
- MVP
- Financial Model
- Elevator pitch/ business idea presentation

As a last word…



THE RULES FOR BEING HUMAN

HANDED DOWN FROM ANCIENT SANSKRIT

1. YOU WILL RECEIVE A BODY.
You may like it or not, but it will be yours for the entire period round.

2. YOU WILL LEARN LESSONS.
You are enrolled in a full-time, informal school called life. Each day in this school you will have the opportunity to learn lessons. You may like the lessons or think them irrelevant and stupid.

3. THERE ARE NO MISTAKES, ONLY LESSONS.
Growth is a process of trial and error, experimentation. The 'failed' experiments are as much a part of the process as the experiment that ultimately works.

4. A LESSON IS REPEATED UNTIL IT IS LEARNED.
A lesson will be presented to you in various forms until you have learned it, then you can go on the next lesson.

5. LEARNING LESSONS DOES NOT END.
There is no part of life that does not contain its lessons. If you are alive, there are lessons to be learned.

6. 'THERE' IS NO BETTER THAN 'HERE.'
When your 'there' has become 'here', you will simply obtain another 'there' that will, again look better than 'here'

7. OTHERS ARE MERELY MIRRORS OF YOU.
You cannot love or hate something about another person unless it reflects to you something you love or hate about yourself.

8. WHAT YOU MAKE OF YOUR LIFE IS UP TO YOU.
You have all the tools and resources you need, what you do with them is up to you. The choice is yours.

9. THE ANSWERS LIE INSIDE YOU.
The answers to life's questions lie inside you. All you need to do is look, listen, and trust.

illuzone



It is not what you do

it is all about

how you do it ☺

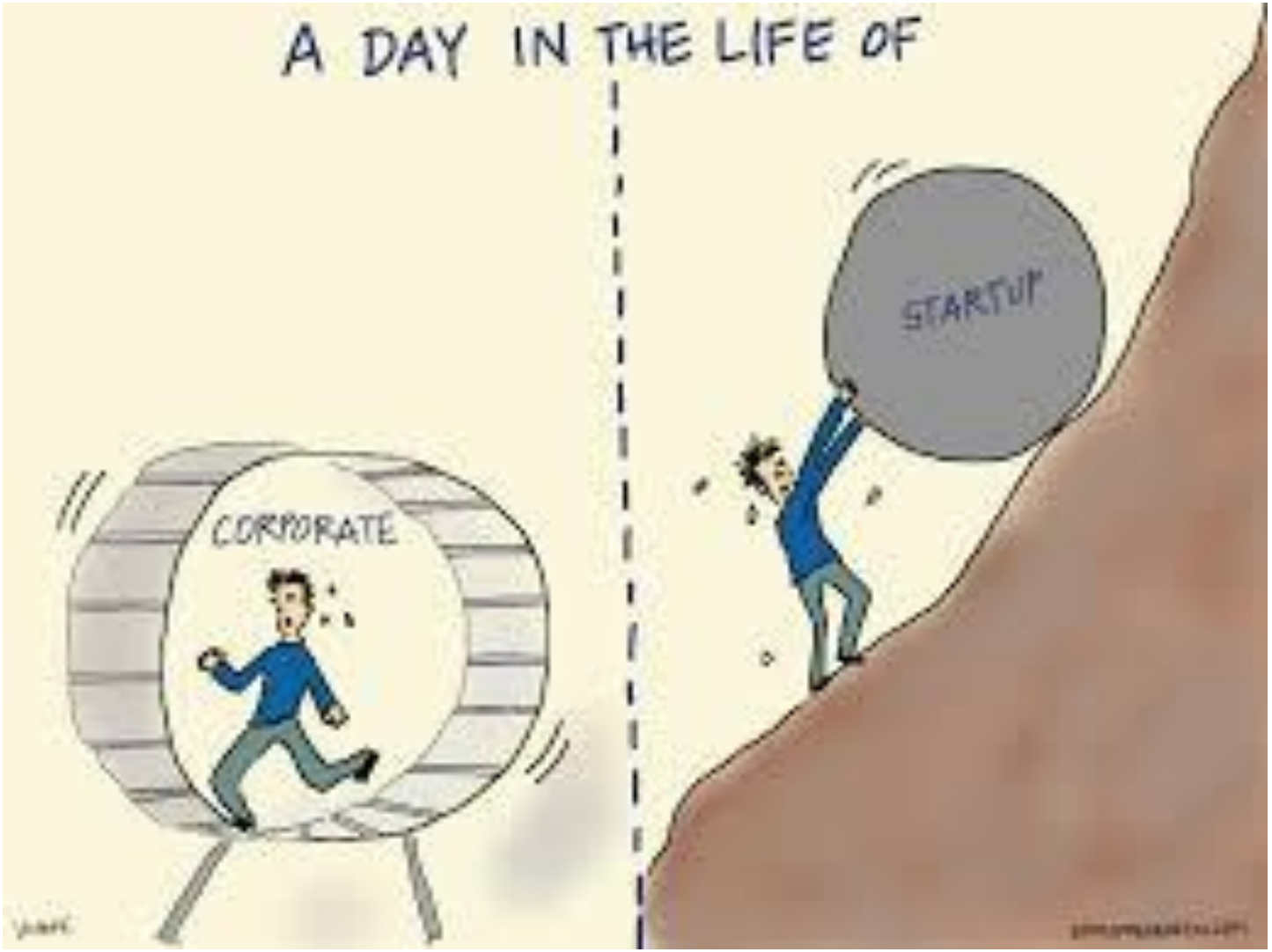
IT'S NOT WHAT
YOU DO, IT'S
HOW YOU DO IT.
IT'S NOT WHAT
YOU SEE, IT'S
HOW YOU LOOK
AT IT. IT'S
NOT HOW YOUR
LIFE IS, IT'S
HOW YOU LIVE IT.

Choose a job
you love

and you will
never have to work
a day in your life

Confucius

Are you ready? ☺



Entrepreneurship Types

- Technology Entrepreneurship
- Corporate Entrepreneurship
- Intrapreneurship
- Social Entrepreneurship
- Youth/Elder/Women Entrepreneurship
- Disaster Entrepreneurship
- Illegal Entrepreneurship

Entrepreneurs



What my mom thinks I do



What my friends think I do



What society thinks I do



What investors think I do



What I think I do



What I really do

Entrepreneurship

•Entrepreneurship is the act of being an entrepreneur, which can be defined as "one who undertakes innovations, finance and business acumen in an effort to transform innovations into economic goods".

•This may result in new organizations or may be part of revitalizing mature organizations in response to a perceived opportunity.

•The most obvious form of entrepreneurship is that of starting a new outfit referred as new Business-Startup however, in recent years, the term has been extended to include social and political forms of entrepreneurial activity.

• When entrepreneurship is describing activities within a firm or large organization it is referred to as intra-preneurship and may include corporate venturing, when large entities spin-off organizations.

A Definition of Entrepreneurship

- **The concept of entrepreneurship has a wide range of meanings. On the one extreme an entrepreneur is a person of very high aptitude who pioneers change, possessing characteristics found in only a very small fraction of the population.**

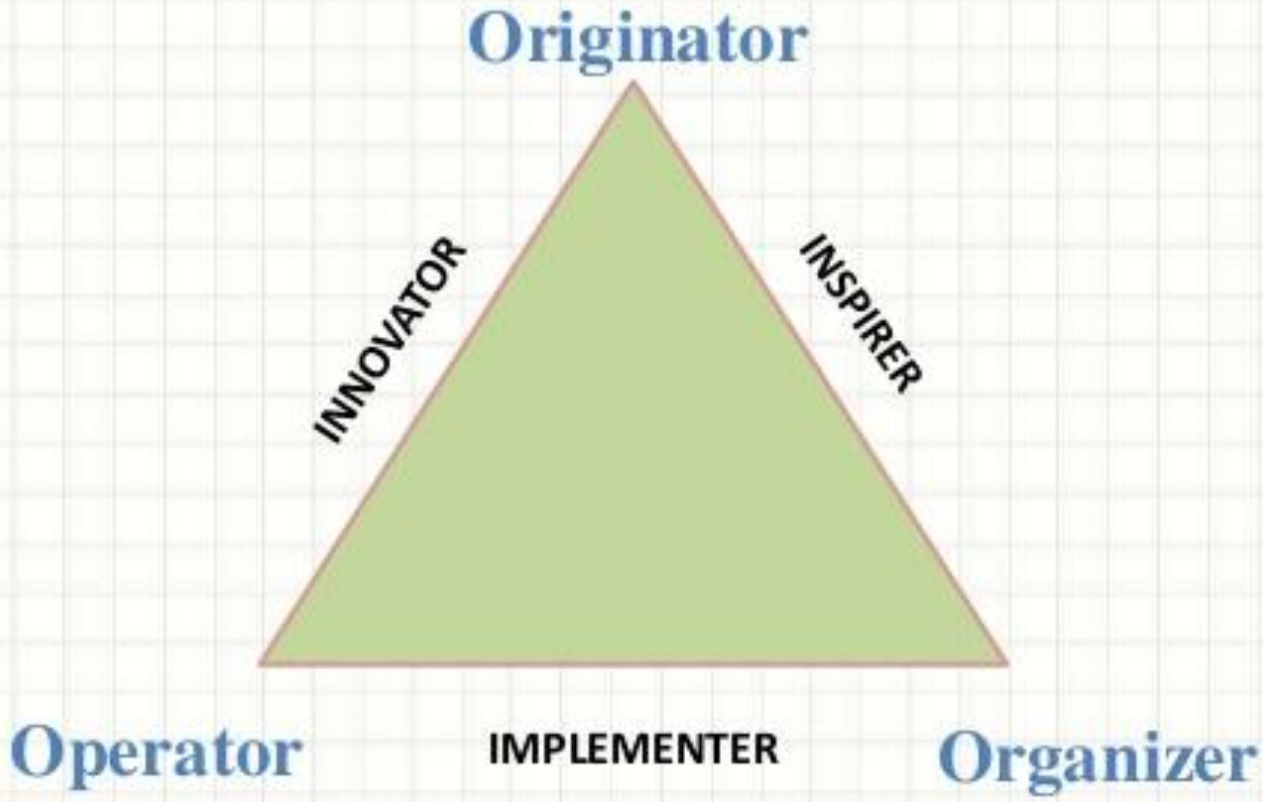
- **On the other extreme of definitions, anyone who wants to work for himself or herself is considered to be an entrepreneur.**

- **The word *entrepreneur* originates from the French word, *entreprendre*, which means "to undertake." In a business context, it means to start a business.**
- **The Merriam-Webster Dictionary presents the definition of an entrepreneur as one who organizes, manages, and assumes the risks of a business or enterprise.**

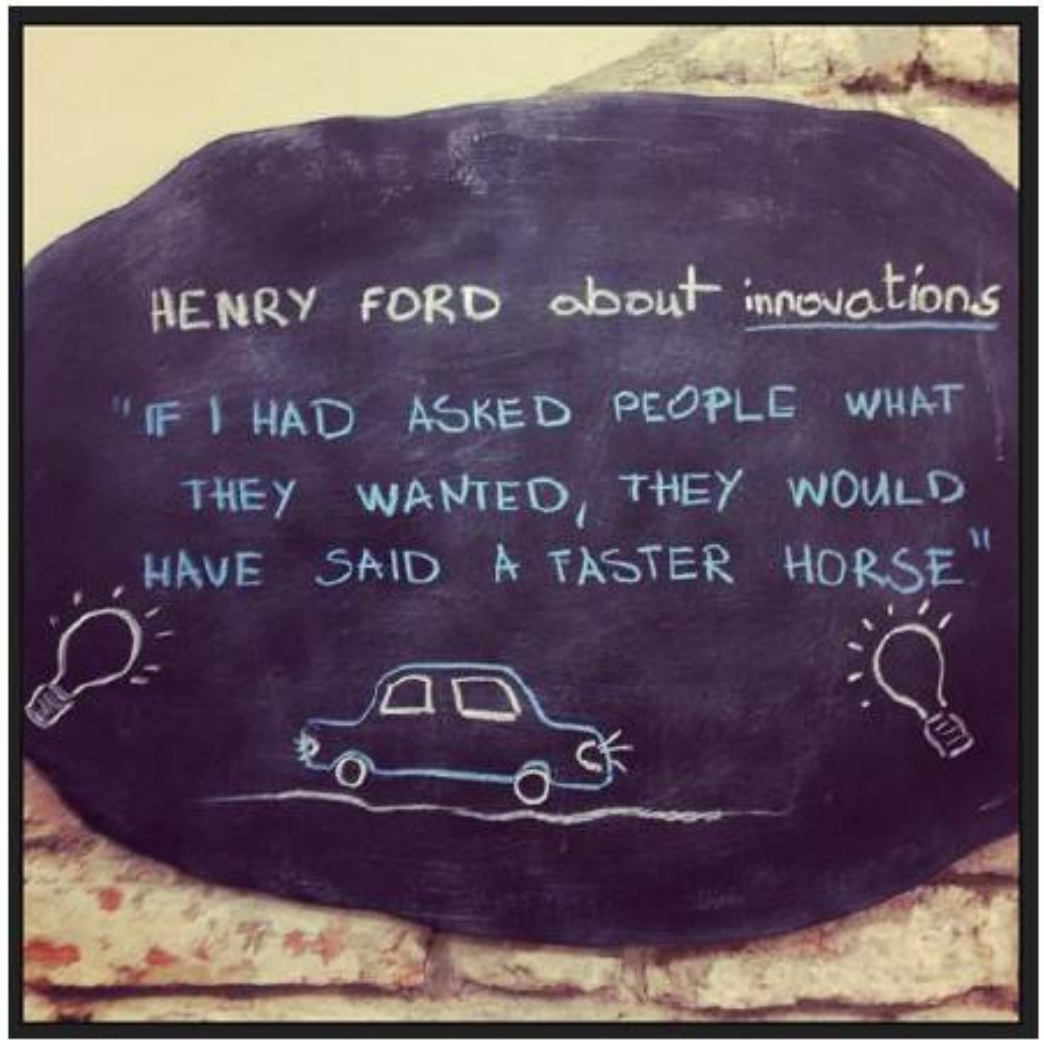
Compelling Reasons Why Do We Need Entrepreneurs???

- 90% of the World's Jobs are Created By Entrepreneurs.
- Problem Solvers
- Source of New Products and Innovation.
- It's the Entrepreneurs- not the Central Bank - that keeps the ECONOMY moving.

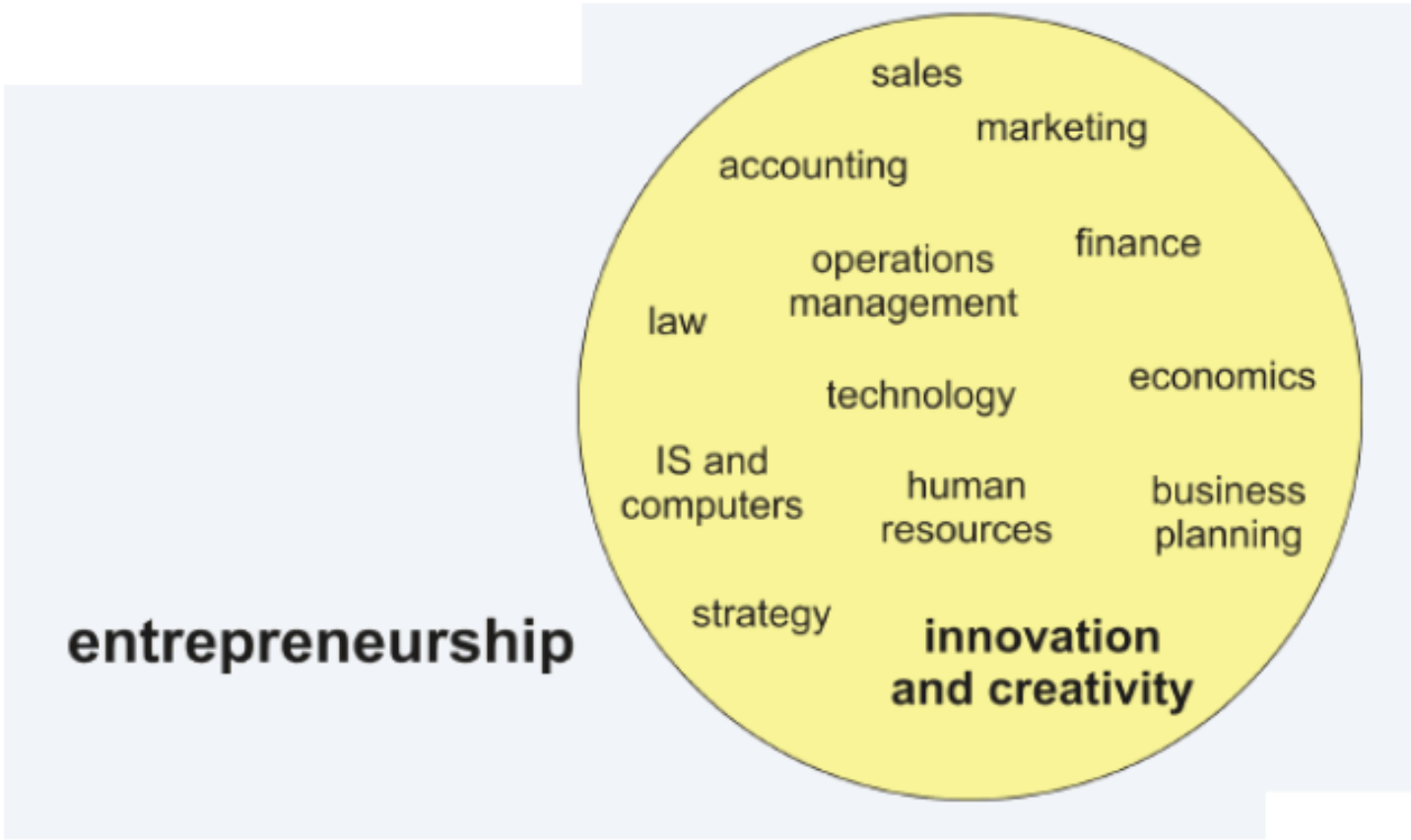
THREE COMPETENCIES OF THE COMPLETE ENTREPRENEUR



INNOVATION AND ENTREPRENEURSHIP



Why innovation is important when studying entrepreneurship?



What is innovation?

variety of meanings

often associated with discoveries carried out by white-haired scientist-types in high tech industry labs or universities or a small group within successful company

much broader definition and wider functions

Imagine that you were just hired to work for a very exciting company that recently received a lot of press for its “groundbreaking” products and services. Your new boss, the VP of Marketing, has made it her mission to instill a culture of innovation within one of the company’s most successful businesses.

While reviewing the profiles of employees from across the company, she noticed that you took a Entrepreneurship class in which you studied creativity, innovation and entrepreneurship. She calls you into her office and asks you to lead a brainstorming session with all of her employees.

The goal of the brainstorming session is to come up with practical definitions of the following different but related concepts. She’s also interested in how they relate to each other and whether you can come up with good examples of each:

1. What is creativity?
2. What is discovery?
3. What is invention?
4. What is innovation?

Can you help her out by finding reasonable definitions and examples of these?

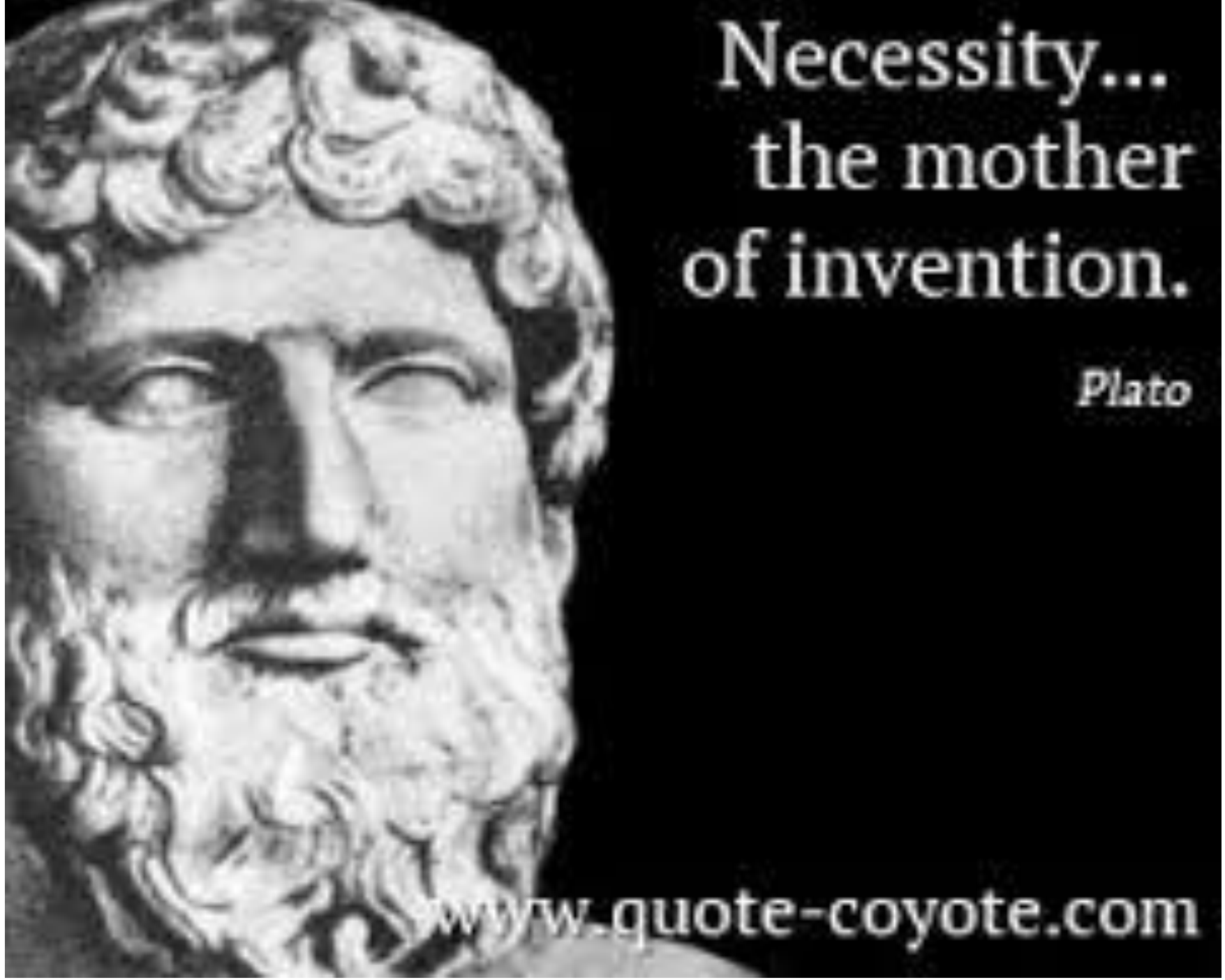
- Creativity is
  - the act of turning new things and ideas into reality. e.g. lady Gagas style.
- Discovery
  - can be defined as finding, coming across or stumbling over something that has already been in existence. e.g. diamonds
- Innovation
  - is the ability to create and implement unique ideas. e.g. Apple
- Invention
  - is the creation of something by someone who utilizes discovery, innovation or creativity. e.g. Air balloons.

"Creativity is seeing what everyone else has seen, and thinking what no one else has thought."

~ Einstein




CREATIVITY
IS THINKING
UP NEW THINGS.
INNOVATION
IS DOING
NEW THINGS.
DIYGENIUS

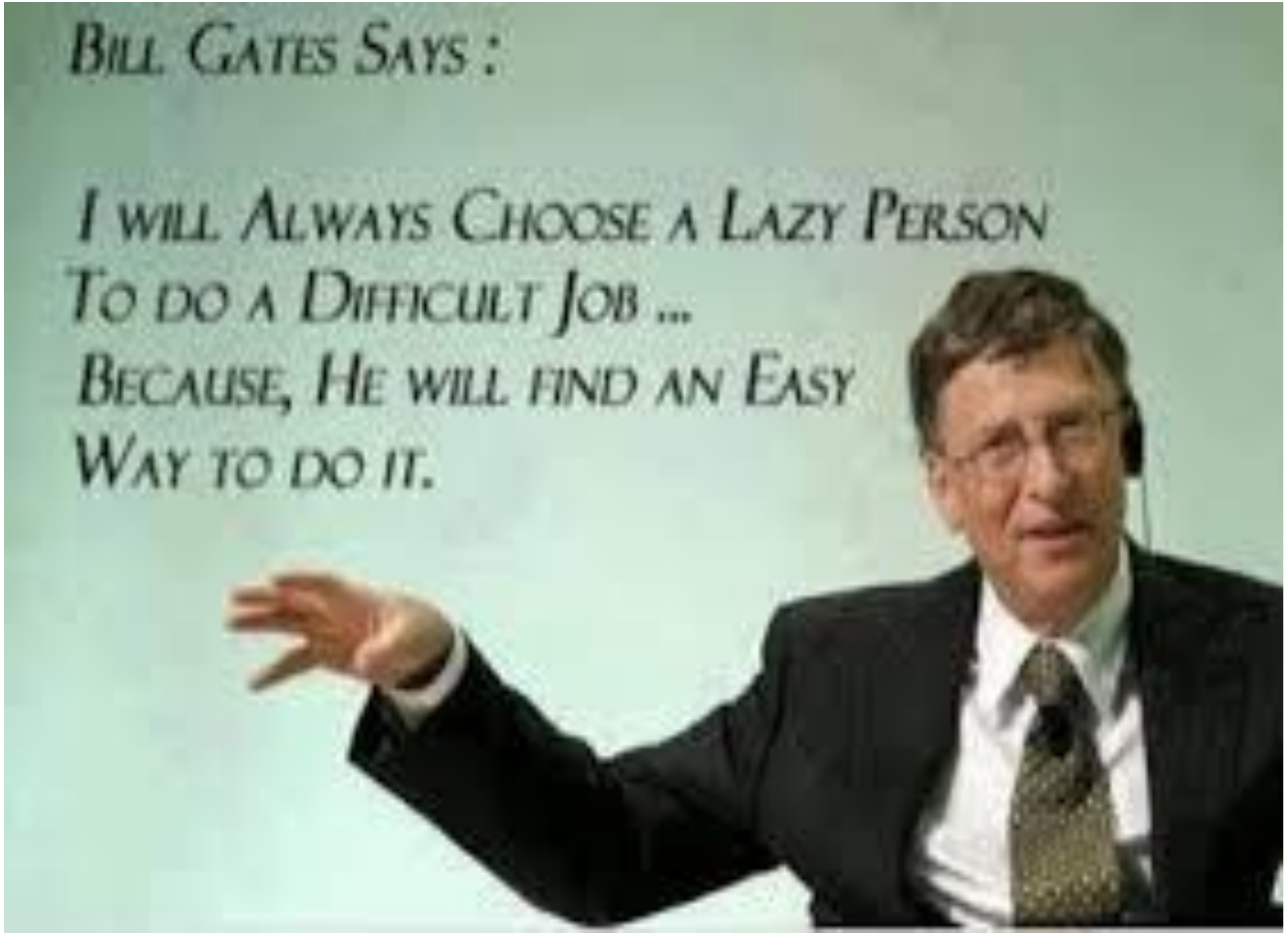

Necessity...
the mother
of invention.
Plato
www.quote-coyote.com



I don't think necessity is the mother of invention. Invention, in my opinion, arises directly from idleness, possibly also from laziness - to save oneself trouble.

(Agatha Christie)

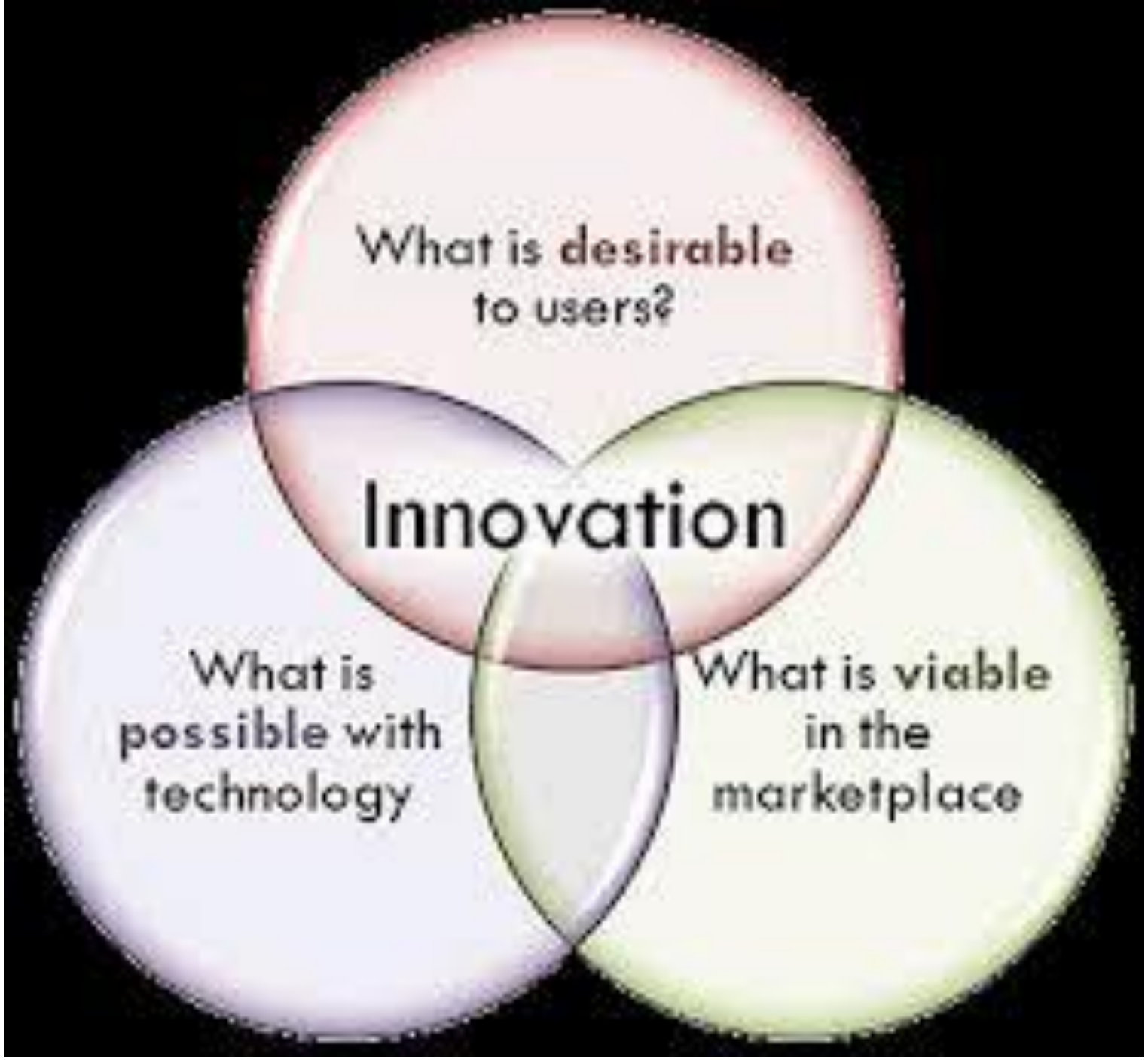
lzquotes.com


BILL GATES SAYS :
I WILL ALWAYS CHOOSE A LAZY PERSON
TO DO A DIFFICULT JOB ...
BECAUSE, HE WILL FIND AN EASY
WAY TO DO IT.

"When good designers talk about innovation, they mean 'the successful exploitation of new ideas.' They don't stop with the invention. They turn their inspirations into reality."

- Simon Rucker

inspireUX


What is desirable to users?
Innovation
What is possible with technology
What is viable in the marketplace

In 2002, listeners to the Today Programme on Radio 4 in a poll to mark 150 years of the UK Patent Office voted for their top ten inventions :

1. Bicycle (Pierre Lallement, 1866)
2. Radio (Guglielmo Marconi, 1897)
3. Computer (Alan Turig, 1945)
4. Penicillin (Florey & Heatley, 1940)
5. Internal Combustion Engine (Nicolaus Otto, 1876)
6. World Wide Web (Tim Berners-Lee, 1989)
7. Light Bulb (Thomas Edison & Joseph Swan, 1829)
8. Cat's Eyes (Percy Shaw, 1936)
9. Telephone (Alexander G. Bell, 1876)
10. Television (John Logie Baird, 1923)

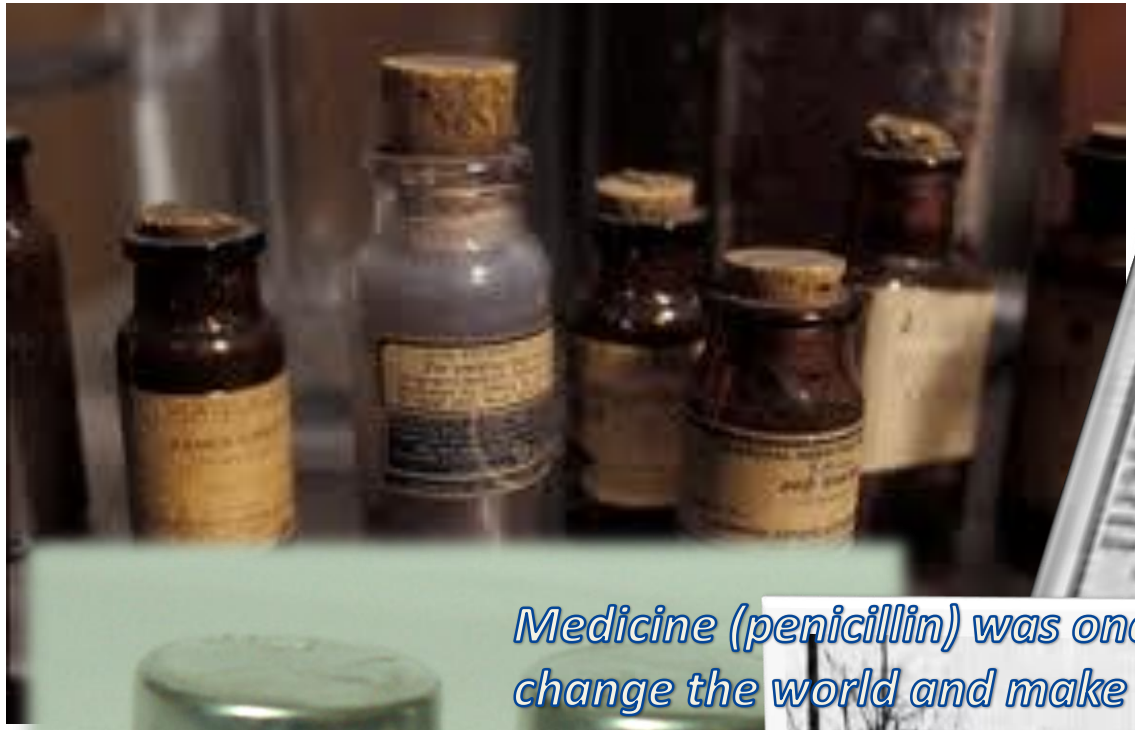
Is innovation good?

- Nowadays we hear from every where that it is only one step to the end of the world, that everything the mankind has done and invented, leads to the destruction of human civilization.

So it is better...

- to examine the problem from different sides;

- to analyze and compare the most famous, greatest and unusual inventions.





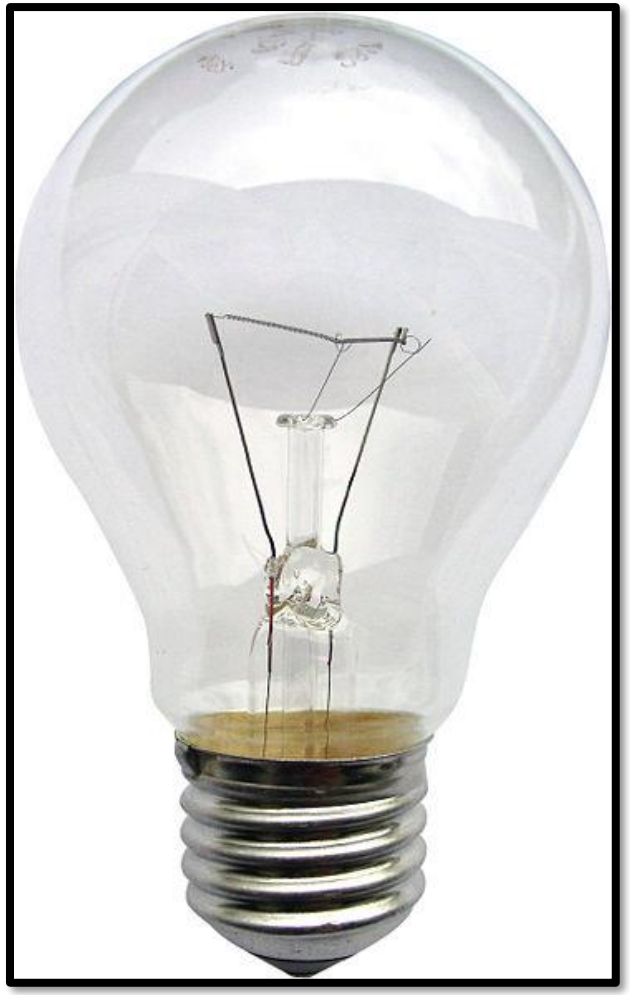


Medicine (penicillin) was one of the first things to help change the world and make it the world we live in today.



Electricity (19th Century)

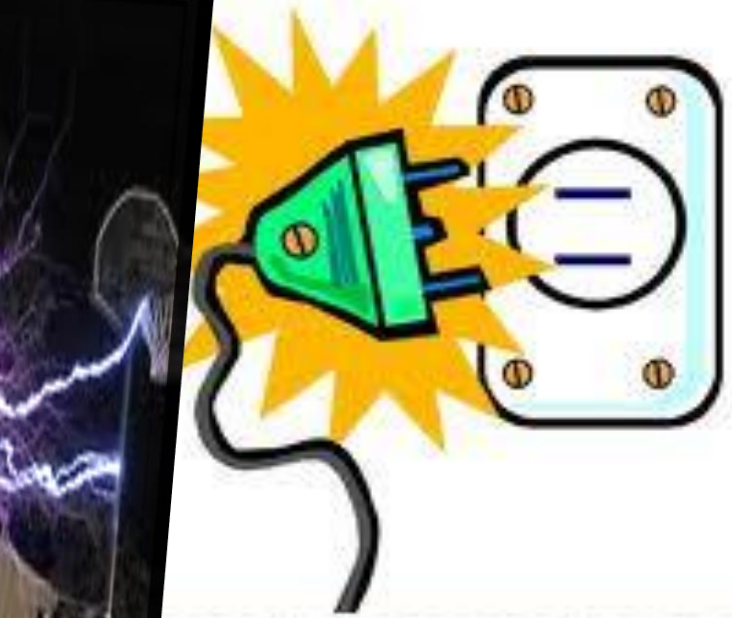
- The name came from the Greek word for amber and was coined by Elizabeth I's physician William Gilbert who was among those who noticed that amber had the power to attract light objects after being rubbed.
- In the 19th century such great names as Michael Faraday, Humphrey Davy, Alessandro Volta and Andre Marie Ampere all did vital work on electricity.









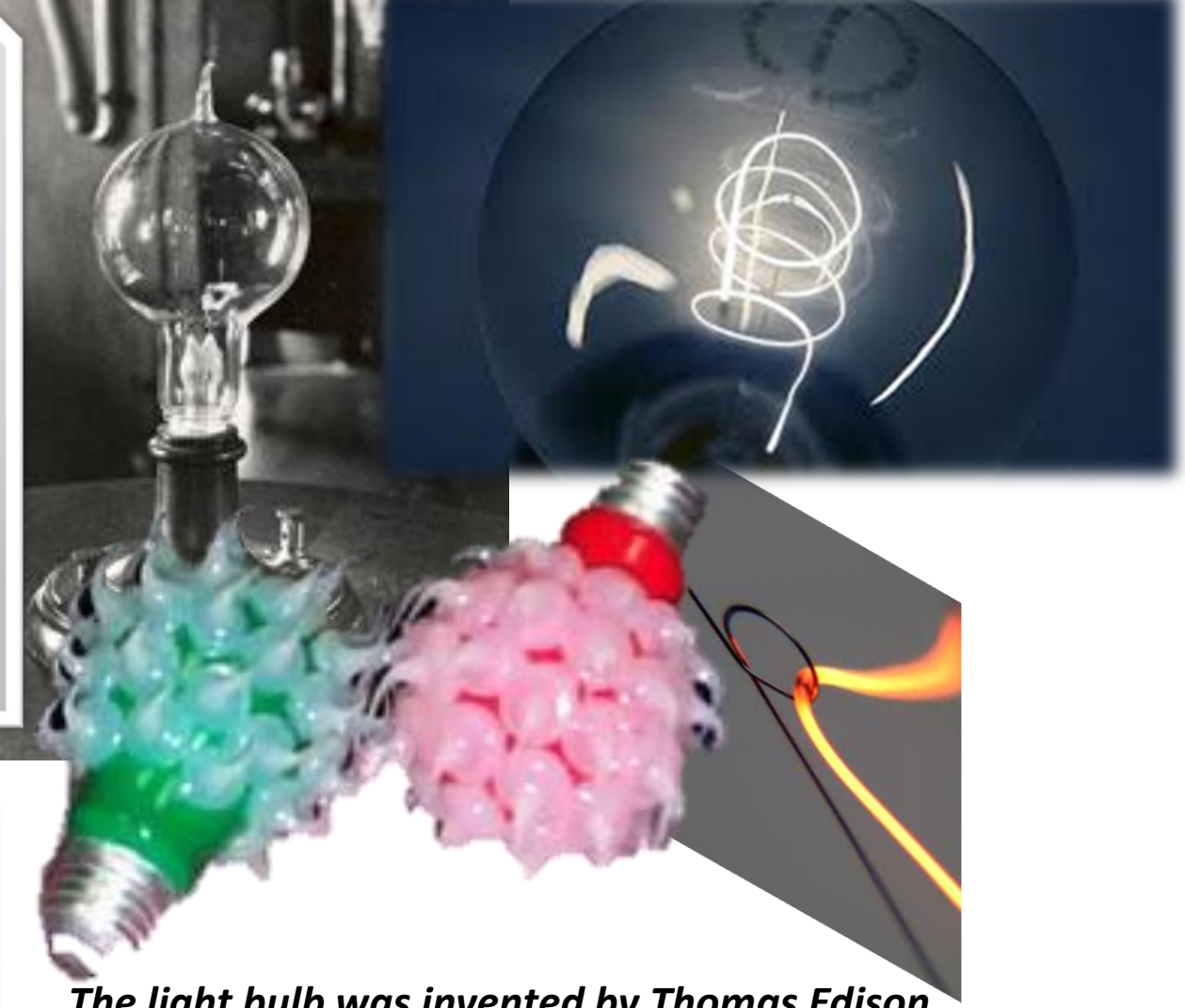


Electricity is the second most important because it helps power all the other new inventions like the telephone and a light bulb.









The light bulb was invented by Thomas Edison in 1879 and has The Centennial Light is a four-watt, hand-blown, carbon-filament, common light bulb manufactured in Shelby, Ohio, by the Shelby Electric in the late 1890s; many just like it still exist and can be found still burning.

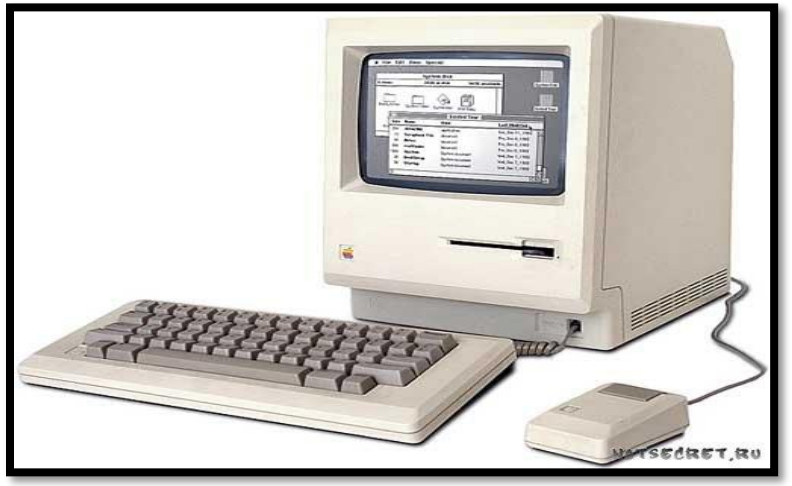
Television (1920s)

- The invention that swept the world and changed leisure habits for countless millions was pioneered by Scottish-born electrical engineer John Logie Baird. It had been realized for some time that light could be converted into electrical impulses, making it possible to transmit such impulses over a distance and then reconvert them into light.



Computer (20th Century)

- The computer has been another life-transforming invention. British mathematician Charles Babbage designed a form of computer in the mid-1830s. Now, a whole generation has grown up with calculators, windows, icons, computer games and word processors, and the Internet and e-mail have transformed communication and information.



Motor Car (Late 19th Century)

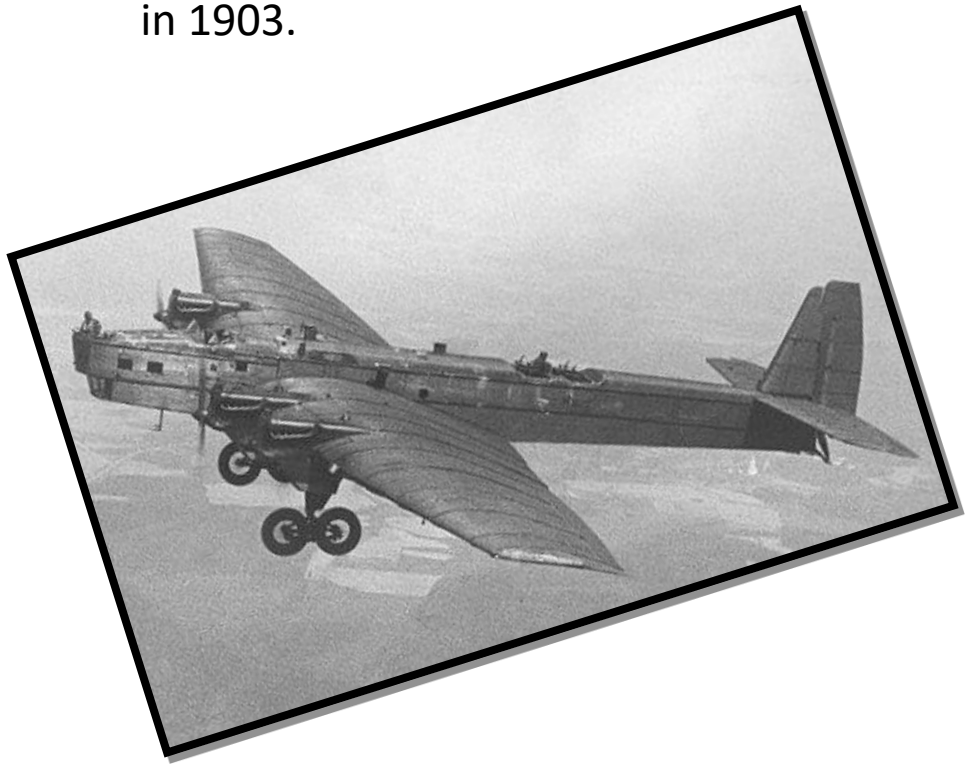
- With television, the car is probably the most widely used and most useful of all leisure-inspired inventions. German engineer Karl Benz produced the first petrol driven car in 1885 and the British motor industry started in 1896. Henry Ford was the first to use assembly line production for his Model T car in 1908. Like them or hate them, cars have given people great freedom of travel.

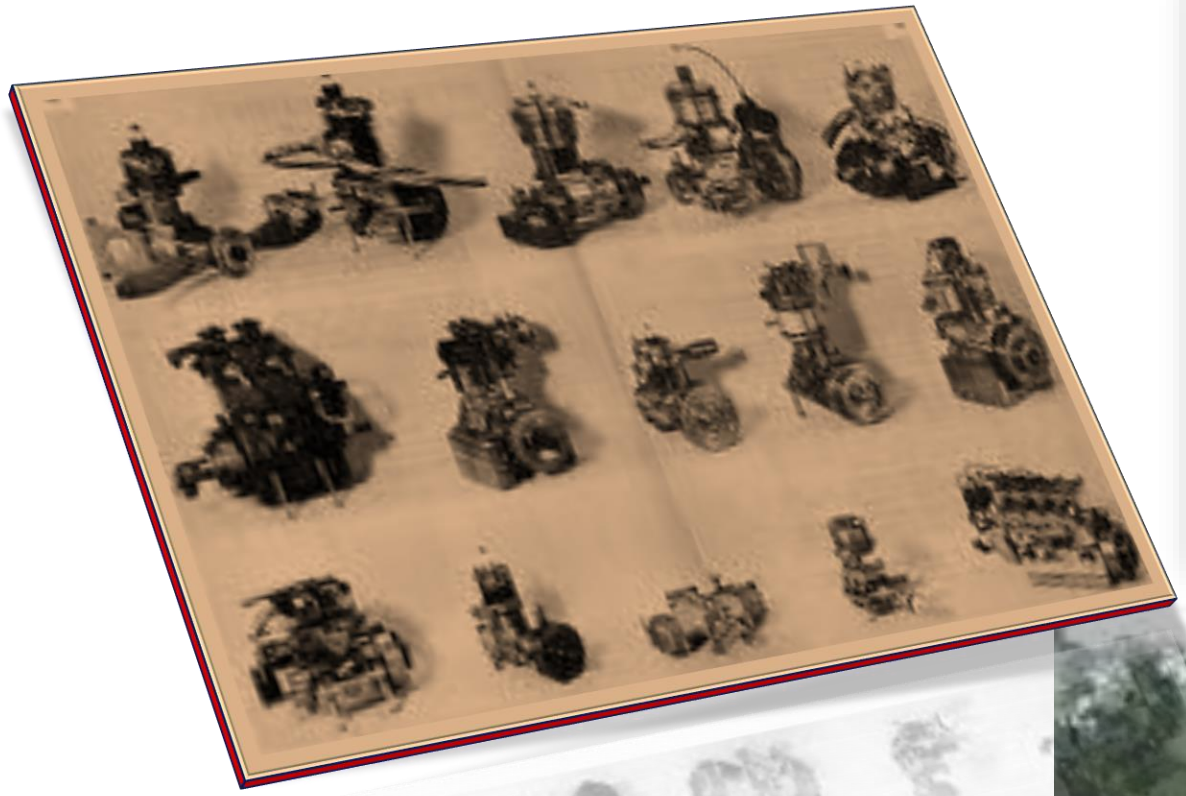


Airplane (Early 19thCentury)

- The plane was the invention that helped shrink the world and brought distant lands within easy reach of ordinary people. The invention of the petrol engine made flight feasible and the American Wright brothers made the first flight

  in 1903.













The engine was the next step into the new age and it modernized America. Americans no longer traveled on slow moving horses they now used cars and tractors to plow the fields and get around which was more cost efficient



Assembly lines and *hennery* fords model T were also a big advancement and allowed them to produce and manufacture new family sizes cars at a cheap and family affordable price















Photography

(Early 19th Century)

- Leonardo da Vinci had described the camera obscura photographic principle as early as 1515. But it was not until 1835 that Frenchman Louis Daguerre produced camera photography. The system was gradually refined over the years, to the joy of happy snappers and the despair of those who had to wade through friends' endless holiday pictures.



Telephone (1876)

- Edinburgh-born scientist Alexander Graham Bell patented his invention of the telephone in 1876. The following year, the great American inventor Thomas Edison produced the first working telephone. With telephones soon becoming rapidly available, the days of letter-writing became numbered.







Telephone was invented by alexander gram bell and was one of the biggest invention's ever made it progressed all the way up to now and is now portable.







Comparative characteristics of the best and worst inventions of humanity

The best inventions:

- Bike(59%)
- transistor (8%)
- Electromagnetic induction(8%)
    - PC (6%)
    - radio(5%)
    - Internet (4%)

The worst inventions

- Weapon (35%)
- Cell phone (17%)
- Nuclear energy(9%)
- TV (9%)
- Cigarettes(6%)
- Fast food(3%)

The most ridiculous inventions of the 20th century

- 5. In 1954, spectacles for blind people were patented in Britain, but during the presentation of the invention several people were injured.
- 4. In 1970 American physicist Robert Creek announced the establishment of an apparatus capable of taking samples of soil from ...the Sun –a sun walker. Creek spent about $ 1.5 million for this invention .
- 3. In 1972, the Spanish cameraman Pinchot Jimenez tried to make the instrument for blowing out a film.

- **2**. In 1985, in France, a device for wine tasting in the cup was patented. It is poured the wine, and after a few seconds light comes on the dashboard .

- **1**. “Four-legged” tights. It is assumed that when a stocking is torn, a woman will hide it in the special pocket on the belt and get another stocking.

Conclusion

- During the existence of human civilization people invented different things ; they were useful ,harmful or ridiculous.
- Each invention has both positive and negative sides, so we can’t claim that something is only useful but another one is not.
- The worst invention that can lead our world to the end is a weapon.


❤ Thank You ❤
www.lifesoulvision.com

Lean Start-Up

58 new product ideas to get one successful product.

9/10 startups fail.

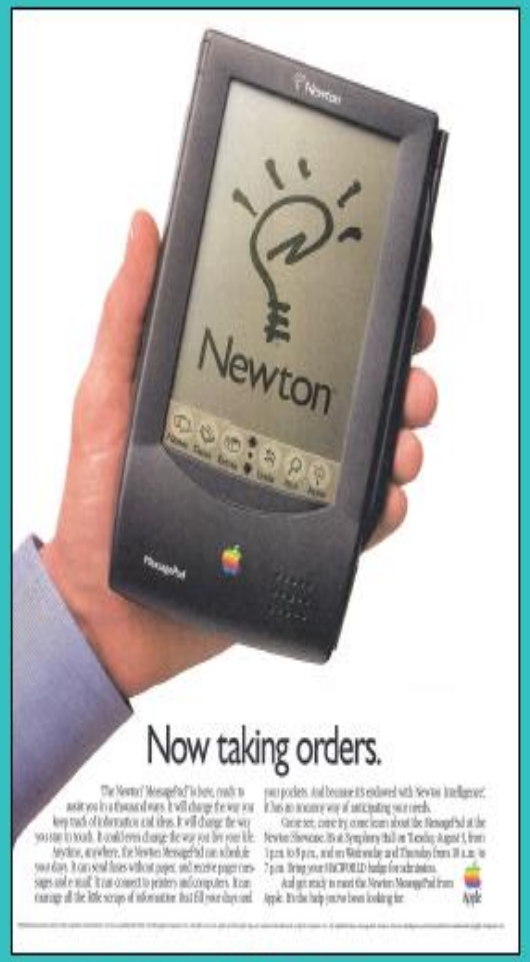
66% change their original plans drastically.



LIFE IS TOO SHORT TO BUILD SOMETHING NOBODY WANTS

- MICHAEL CHIK

KNOW THESE?



source: http://goo.gl/nxcQbv



source: https://goo.gl/cqDnFX



source: https://goo.gl/h8SI4b



The Lean Startup
#leanstartup

Eric Ries (@ericries)

http://StartupLessonsLearned.com

Lean Startup Principles

Entrepreneurs are everywhere

Entrepreneurship is management

Validated Learning

Build – Measure - Learn

Innovation Accounting

What is a startup?

- A startup is a *human institution* designed to *deliver a new product or service* under conditions of *extreme uncertainty.*

- Nothing to do with size of company, sector of the economy, or industry

Lean Startup is…

An approach for building [companies] that are creating new products and services in situations of ***extreme uncertainty***.

The approach advocates creating small products that test the creator's assumptions, and using customer feedback to evolve the product, thereby reducing waste.

Startup:

Temporary organization used to search for a repeatable and scalable business model.

As defined by Steve Blank.

What is a startup?

STARTUP

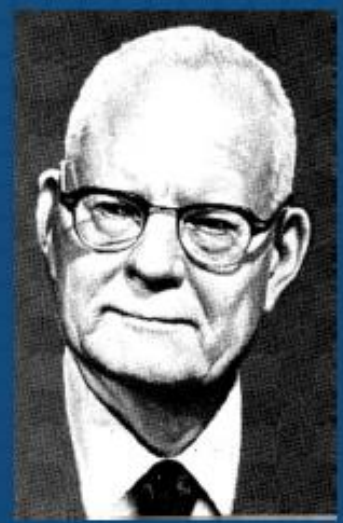
=

EXPERIMENT

Entrepreneurship is management

- Our goal is to create an institution, not just a product
- Traditional management practices fail
  - "general management" as taught to MBAs
- Need practices and principles geared to the startup context of *extreme uncertainty*
- Not just for "two guys in a garage"

The Lean Revolution



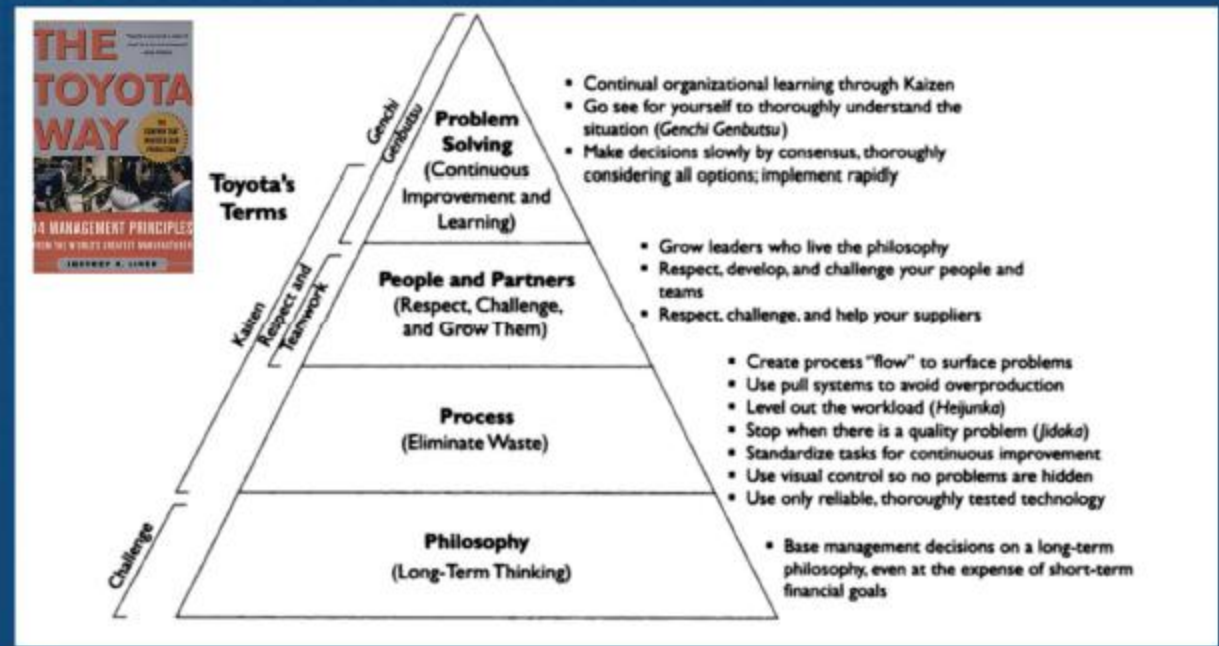
W. Edwards
Deming
(1900 – 1993)



Taiichi Ohno - 大
野 耐
(1912 – 1990)

"The customer is the most important part of the production line." -Deming

The Toyota Way



http://bit.ly/thetoyotaway

Most startups fail
from a
lack of (paying) customers.

- Rarely fail because the product doesn’t work
- Usually fail because there are no customers
- Quality of the initial idea is not correlated with success
- Startups that succeed are those that manage to iterate enough times before they run out of resources
- Time between these iterations is fundamental

- Your initial Goal:

  Improve likely success rate of your venture, and reduce risk of failure.

Enable yourself to actually make the jump into a full-time entrepreneur.

- Your Process:

Likely entirely chaotic.

No one implements the lean startup as a strict process.

Similar to agile adoption (e.g. Kan-ban) you need to make a slow transition into more structured thinking.

Basic Principles…

- Think **BIG**

- START small

GET OUT OF THE BUILDING!!!!

- Question at the start of a typical project:
  - Can we build a solution for that problem?

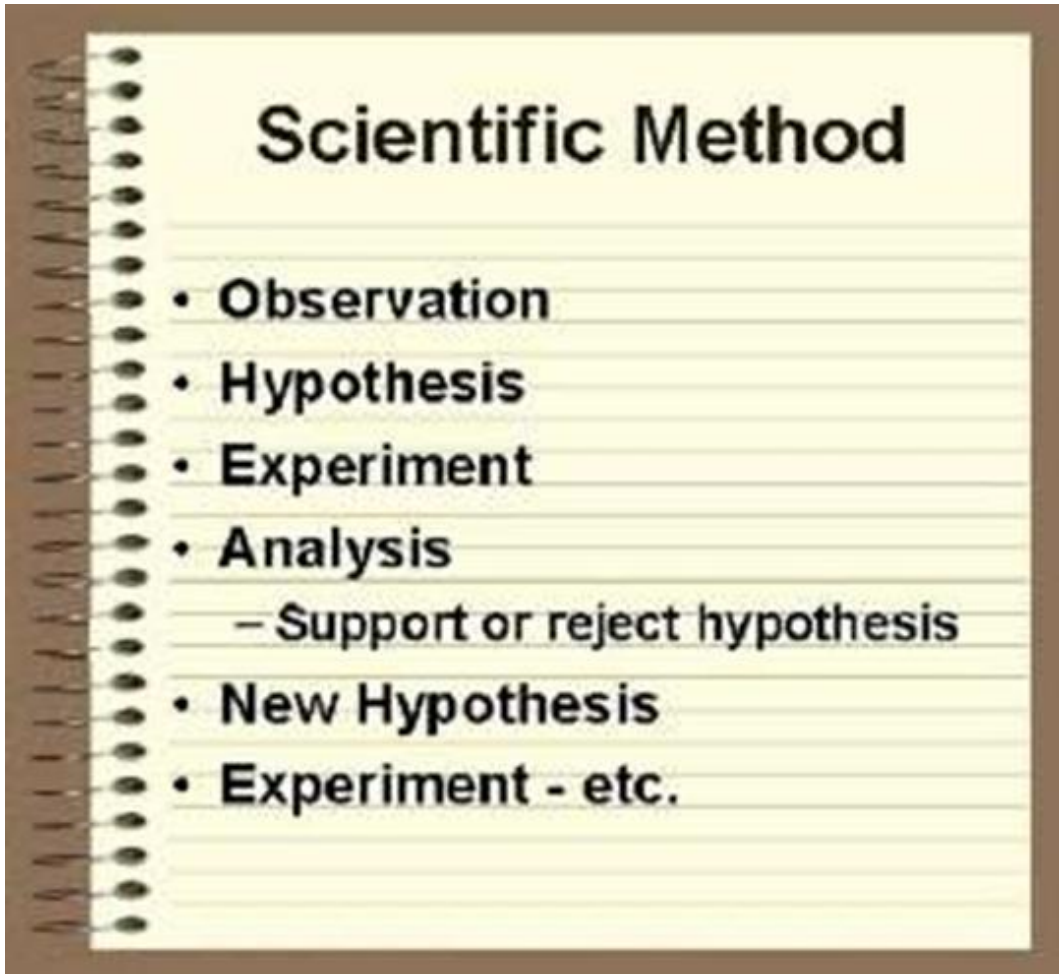
- Lean Startup questions at the start:
  - Do consumers recognize they have a problem?
  - If there was a solution, would they buy it?
  - Would they buy it from us?
  - Can we build a solution for that problem?
  - Can we build a sustainable business around this product/service?

Ask ***“Should it be built?”*** instead

of

“Can it be built?”

- Adaptable framework
- Based on scientific methods
- A journey of “discovery”
- Subject the vision to constant hypothesis testing
- React to customer feedback
- Bypass work that does not lead to learning
- Adapt to what the data is telling you


Scientific Method
• Observation
• Hypothesis
• Experiment
• Analysis
– Support or reject hypothesis
• New Hypothesis
• Experiment - etc.

Product is

only ***1*** of the ***9***

critical aspects that make your company work.

- List your assumptions
- Understand your customers
- Get real product into the world
- Adjust direction based on evidence

The Lean Startup

- is the way most innovators build startups and innovate inside of existing companies. As a formal method, the lean startup consists of three parts:

- The Business Model Canvas – to frame hypotheses
- Customer Development – to test those hypotheses in front of customers
- Agile Engineering – to build Minimum Viable Products to maximize learning.

Start with worksheets

1. WHAT: Problem

What is the problem you are trying to solve?

2. WHO: Customer

Who has the problem?

3. HOW: Product/Market

How do you solve this problem?
How big is this market?
How are you going to reach this customer?
How do you drive demand?
How will you make money?

Validate Problem/Solution Fit



Stage 1: Problem/Solution Fit

- Key Question: Do I have a problem worth solving?
- Before investing months or years of effort towards building a product, the first step is determining if this product is something worth doing. You do this by decoupling the problem from the solution and testing each through customer interviews - a process Steve Blank calls “Customer Discovery”.
- Testing the problem this way lets you validate whether you have a “problem worth solving” before investing effort building out a solution. From there you then derive the minimum feature set to addresses the right set of problems - the Minimum Viable Product (MVP).

Problem and Customer Segments

- 1. List top 3 problems for the customer segment you are working with, describe the top 1-3 problems they need solved.
  - If you you plan to sell to many customer segments you have to do this for each!!! For example, if you plan to sell to mining companies but also to mining company suppliers, ***list problems for each one.***
- 2. List existing alternatives then document how you think your early adopters address these problems today. Unless you are solving a brand new problem (unlikely), most problems have existing solutions. Many times these may not be a readily obvious competitor.
  - As an example, the biggest alternative to most online collaboration tools is not another collaboration tool, but email. Doing nothing could also be a viable alternative for a customer if the pain is not acute enough
- 3. Identify other user roles. Next identify any other user roles that will interact with this customer.

Problem and Customer Segments

- Examples:
  - 1. In a blogging platform, the customer is the blog author while the user is a reader.
  - 2. In a photo sharing service, the customer is the sharer, while users a reviewers (family and friends). Hone in on possible early adopters
- With these problems in mind, get more specific on the customer segment. Narrow down the distinguishing characteristics of your prototypical customer. *Your objective is to define an early adopter - not a mainstream customer.*

Achieve Product/Market Fit



Stage 2: Product/Market Fit

- Key Question: Am I building something people want?
  - Once you have a problem worth solving and your idea of a solution, you can then start the process of learning from customers and testing how well your solution solves the problem.
  - Unique Value Proposition distills the essential value of your products to your market

Market <=> Product

- Unique Value Proposition
- Distribution & Marketing Channels
- Key Metrics

UNIQUE Value Proposition (UVP)

- A Unique Value Proposition is a *bundle of benefits, from a customer's perspective,* which summarize why customers turn to your company.

UVP

- Thinking about your Value Propositions forces you to put yourself in other people's shoes, and understand what you're doing (and modify what you're doing) based on the people who will actually buy and use your product!
- Your initial UVP is likely WRONG so don't stress!

UVP

- 1) Translate your offering features into customer benefits.
  - *why does your offering has particular features and functions.*
- 2) Value Propositions are also influenced by
  - customer segments (how you help them)
  - Competition (how you stand out)

UVP

- NOT JUST YOUR OFFERING
- A well-stated value proposition
  - Matches your offering with problems or needs of a particular customer segment
  - Positions your offering in contrast to competitors' offerings.

UVP

- **Be different, but make sure your difference matters**
  - The key to unlocking what's different about your product is deriving your UVP directly from the #1 problem you are solving.
  - If that problem is indeed worth solving, you're more than halfway there already.
- **Target early adopters**
  - Too many marketers try to target the "middle" in the hopes of reaching mainstream customers and in the process water down their message.
  - Your product is not ready for mainstream customers yet.
  - Your sole job should be finding and targeting early adopters which requires bold, clear, and specific messaging
- **Focus on finished story benefits**
  - You've probably heard about the importance of highlighting benefits over features. But benefits still require your customers to translate them to their worldview. A good UVP gets inside the head of your customers and focuses on the benefits your customers derive after using your product.

- So for instance if you are building a résumé-building service:- - -a feature might be *"professionally designed templates" the benefit would be an "eye-catching résumé that stands out" but the finished story benefit would be "landing your dream job".*

UVP

- ***Pick your words carefully and own them***
- ***Words are key to any great marketing and branding campaign. Look at how the top luxury car brands have used a single word to define themselves:***
  - *Performance: BMW*
  - *Design: Audi*
  - *Prestige: Mercedes*
- ***Picking a few "key" words that you consistently use also drives your Search Engine ranking.***
  - *Answer: What, Who, and Why*
    - *A good UVP needs to clearly answer the first 2 questions - what is your product and who is the customer. The "Why" is sometimes hard to fit in the same statement and frequently use a sub-heading for*
  - *Study other good UVPs*
    - *The best way to craft a good UVP is to study the UVPs of the brands you admire. Visit their landing pages and deconstruct how and why their messaging works.*
  - *Not an Elevator pitch*
    - *A high-concept pitch is different than your UVP but can help you identify it. A high-concept pitch usually builds on other familiar concepts to quickly get an idea across and make it easily spreadable. Unlike a UVP, a high-concept pitch is best used in conjunction with something else that sets the right context such as an elevator pitch. Examples: - YouTube: "Flickr for video" - Aliens (movie): "Jaws in space" - Dogster: "Friendster for dogs"*

Stage 3: Solution

- Simply sketch out the **top three features** or **capabilities** next to each problem.
  - As all you have are untested hypotheses, I don't recommend getting carried away with fully defining a solution just yet.
- *Bind a solution to your problem as late as possible.*

Stage 4: Channels

- “What do you mean? Like a TV channel or something?”
  - Many first-time entrepreneurs are unfamiliar with the concept of channels.
- **Channels are how your business will reach its customers (people who pay you!)**

Channels

- Channels are important!
  - They let people know about your products

Channels

There are four functions of Channels

- **communication**
- **distribution**
- **sales**
- **post-sales support**

Develop Free Channels First

Develop External Free Drivers

*** FREE ***

1. **SEO** (self) – Ideal for products/services that disrupt existing categories.
2. **Blog** - Blog about passion to solve a problem. Link with other blogs in category.
3. **Widgets** make it easy to embed your content (brand experience) on other sites/platforms
4. **E-mail / newsletter** use mailing list from existing products or groups to find testers for your product
5. **Social Media** use twitter and facebook to find customers for your product. Search and monitor keywords related to your product.

Potential User-Get-User Channels

1. **Viral replication -** if your product has a social element

Blog: Startup-Marketing.com

Then Test Paid Channels



Test lowest hanging fruit first

Begin by testing user acquisition channels most likely to have **easy, positive ROI**

Paid channel testing sequence

1. **PR**: Great for "innovators"
2. **Demand harvesting** channels (easier than demand creation)
   - Create unique onramps for each usage and user type
   - SEM, directories
3. **Demand creation** last (challenging and expensive)
   - Get ideas by monitoring competitors and overall trends
   - Widgets, webcasts, sponsorships, banners, radio, trade shows

Inbound versus Outbound Channels
Which is *better* for your business?

- Inbound channels use “pull messaging” to let customers find you
- Outbound channels rely on “push messaging” for reaching customers.
  - Example inbound channels: **Blogs, SEO, E-books, white papers, webinars.**
  - Example outbound channels: **SEM, print/TV ads, trade shows, cold calling.**

Indirect Channels?

- **Many startups waste energy prematurely trying to establish strategic partnerships.**
  - Partner with a larger company to leverage their channels and credibility?
  - The problem is that until you have a **proven product**, you won't get the right level of attention from the bigger company's sales reps to make this work.
  - First sell yourself, *then* let others do

Content Marketing as a Channel

- **Content Marketing uses a combination of Content, (SEO), and Social Media to work.**
  - Rather than crafting the "perfect outbound message", you instead incrementally test various aspects of your Problem/Solution using inbound channels like blogs, white papers, and talks.
  - SEO and Social Media serve to further enhance the reach of your content.

Conferences and Event as a Channel

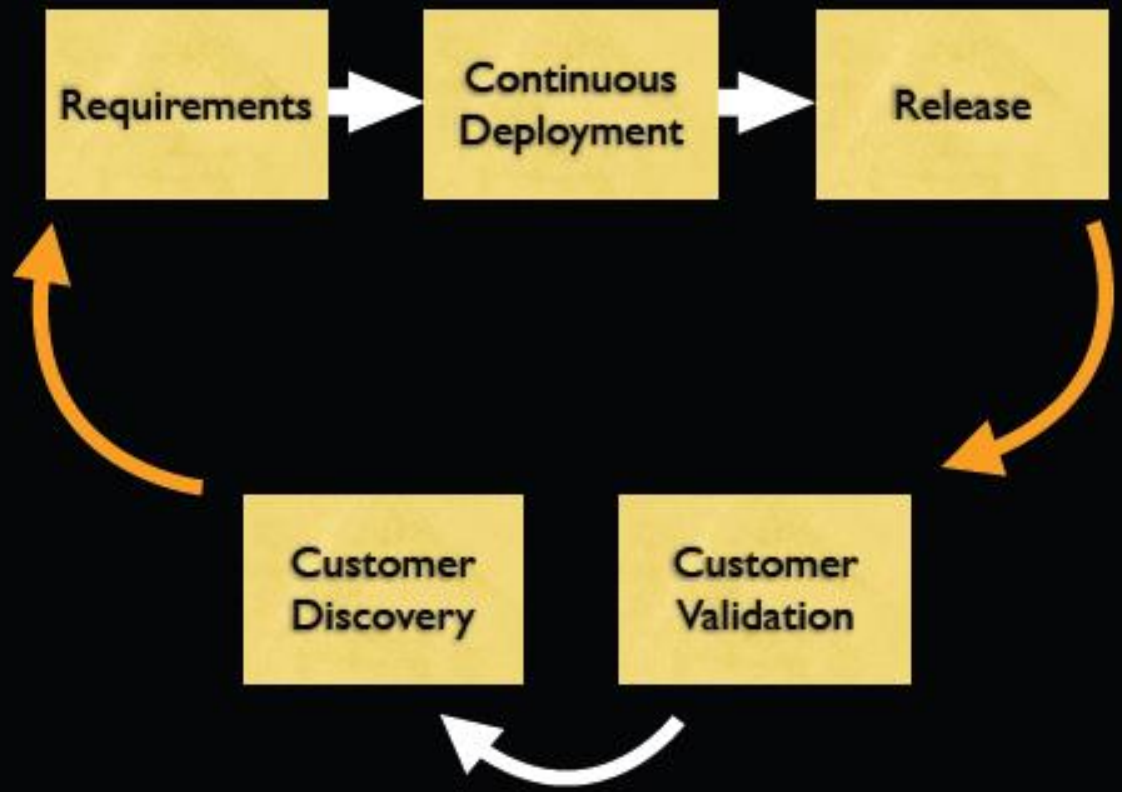
- Because events, such as tradeshows, are not for making direct sales, they are for building brand awareness to seed future sales.
  - Please don’t list events in sales channels!

It’s soo hard to find Channels ☹

- BE CREATIVE
  - Insert your flyers into free newspapers in stands every morning
- Get Noticed!
  - Attending events that your customers might be attending and ask them how they find out about new products
- Channels are a make or break part of your business

Channel	Volume	Cost/user	Time to Implement	Mktg Effort	Prod Effort
Viral / Referral	depends on CTA; size of accessible social networks / # users	low/zero	Low for FB social networks; med/hi for normal sites	low	low/med
Email	depends on CTA, size of your house lists, email signups	low/med	Low	low/med	low/med (med = create templates)
Blogs / Bloggers	Depends on # blogs in your segment, competitive scenario	low/med	Low (if just you blogging); med (if you're setting up big CMS / evangelizing to other bloggers)	low/med	low/zero (med = CMS, prof design)
SEO	depends on your keywords	Low/zero	Medium (depends on your search geeks)	low/zero	med/hi
SEM	depends on your keywords	Depends	Low/med (depends on your marketing)	Low/med	low/med (landing pages = med)
Contest	small unless big prize $ (don't, keep it under $5K)	low/med	low/med (depends on contest, site, campaign)	Med	low/zero (med = prof contest site)
Widget	Depends on CTA; size of accessible sites, level of adoption + bloggers	low/med	Low/med	med	med/hi (depends on complexity)
domains	depends on keywords, domain costs	depends	low	low	Low (redirects/co-brand?)
PR	depends on your business & audience & news	Med/hi	medium (develop story, build contacts)	med	low/zero
Biz Dev / Partner	depends on partner, size of customer base, conversion	med-high	med/hi (capture metrics, generate reports)	Med/hi	med/hi (reports, co-branding)
Affiliate / Lead Gen	depends on economics	Med/hi	med/hi (need to build affiliate program, capture metrics, generated reports)	med/hi	med/hi (depends on rqd tracking & reporting)
Direct / radio	depends on geography	Med/hi	medium	Med/hi	low/zero
Telemktg	depends on target demographics	med-high	med-high	High	low/zero if no system; Med/hi if integrated SFA
TV	Potentially large (if you spend)	High	Med-high	High	Med/hi (production cost)

Involve customers throughout product dev



Optimize for Scale



Step 5: Revenue Streams and Cost Structure

- A lot of startups choose to defer the “pricing question” because they don’t think their product is ready.
  - Something I hear a lot is that a minimum viable product is by definition embarrassingly minimal so how can I charge?
  - Your MVP should address the top problems customers have identified as important to them.
  - Not only does your pricing model keep you in business, it also signals your branding and positioning. It determines your customers.

Your price is part of your product.

Step 6: Key Metrics

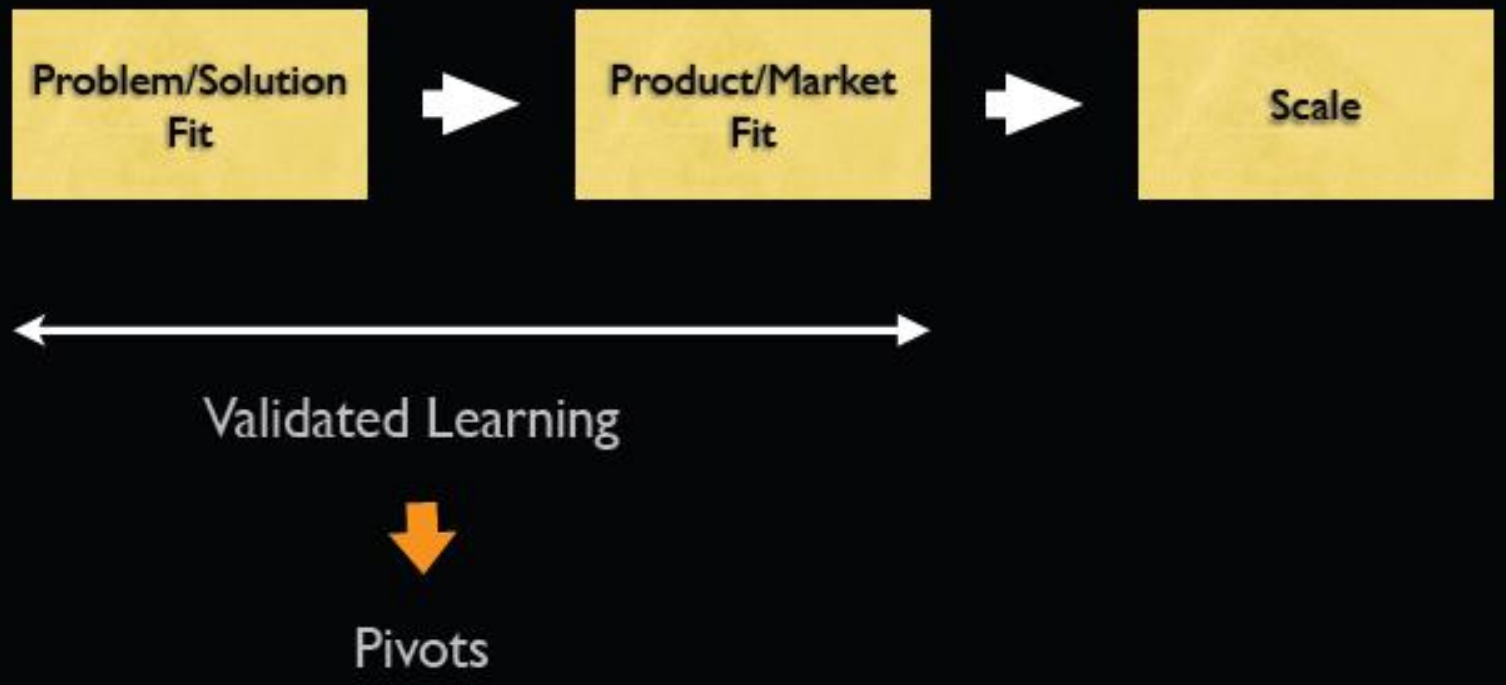
- Document the one or two key activities you think will drive usage of your product.
- Document one or two indicators that your product is successful

Step 7: Unfair Advantage

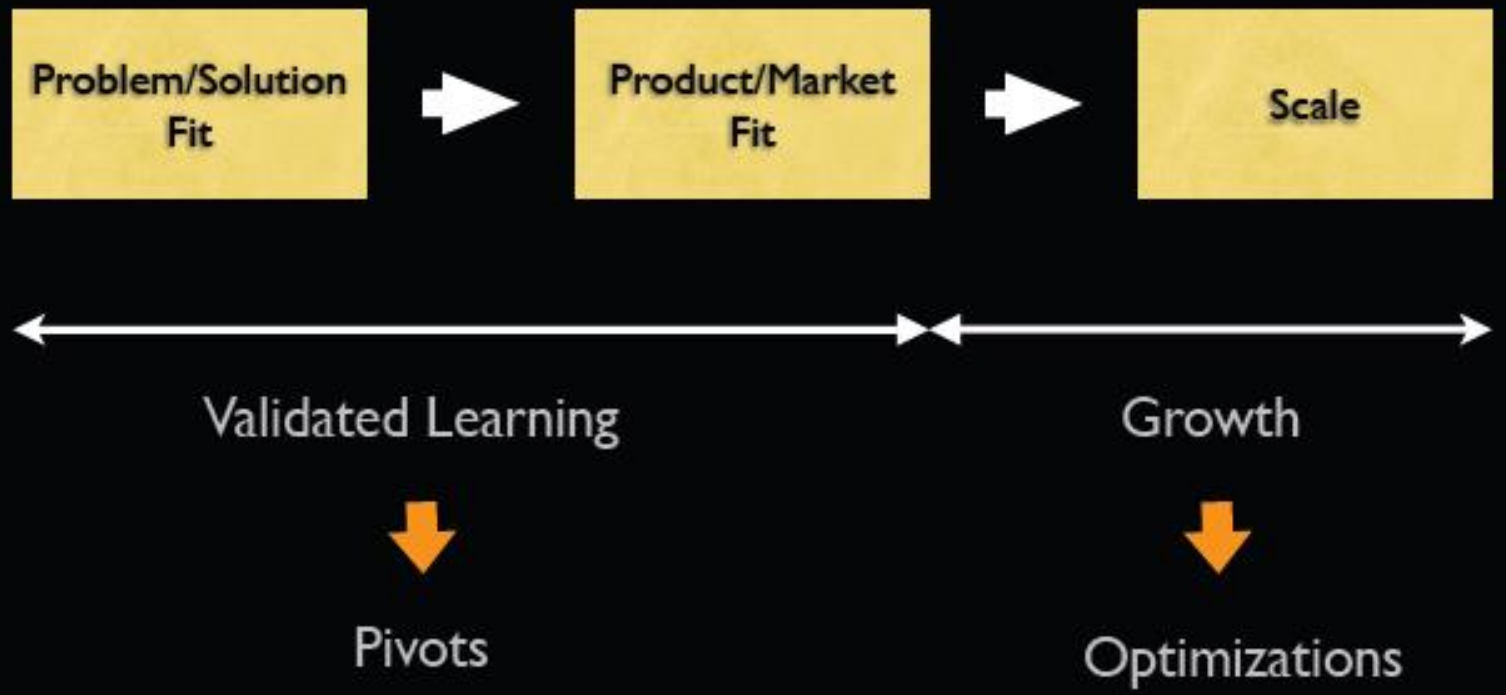
- **Hardest** section to fill so left for last
  - Most founders list things as competitive advantages that really aren't.
- Imagine your co-founder steals your source code, sets up shop in Costa Rica, and slashes prices. Do you still have a business?
  - You have to be able to build a successful business in spite of that which leads to the following definition

"A ***real*** unfair advantage is something that cannot be easily copied or bought." - Jason Cohen

Before Product/Market Fit



After Product/Market Fit



Pivot, Persevere, or Quit

- Based on the validated learnings of an MVP, decide!
- Pivot – structured course correction designed to test new hypotheses
- Persevere – continue on with next set of hypotheses
- Quit – cancel the project and move on to the next one

HYPOTHESIS TEMPLATE

from Janice Fraser
(aka @clevergirl)

We believe that people like
(customer type) have a need for /
problem doing (need / action / behaviour) .
We will we have succeeded when
(measurable outcome) , or (observable outcome) ,
which will contribute to
(KPI) .

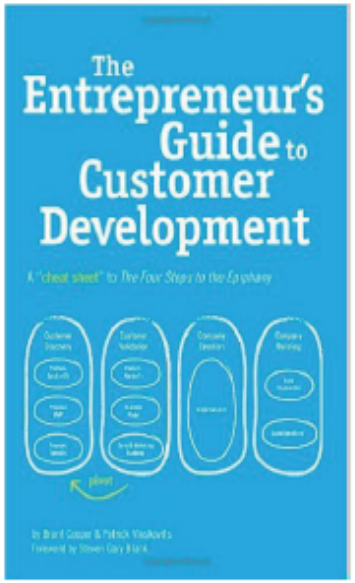
@arsagilis

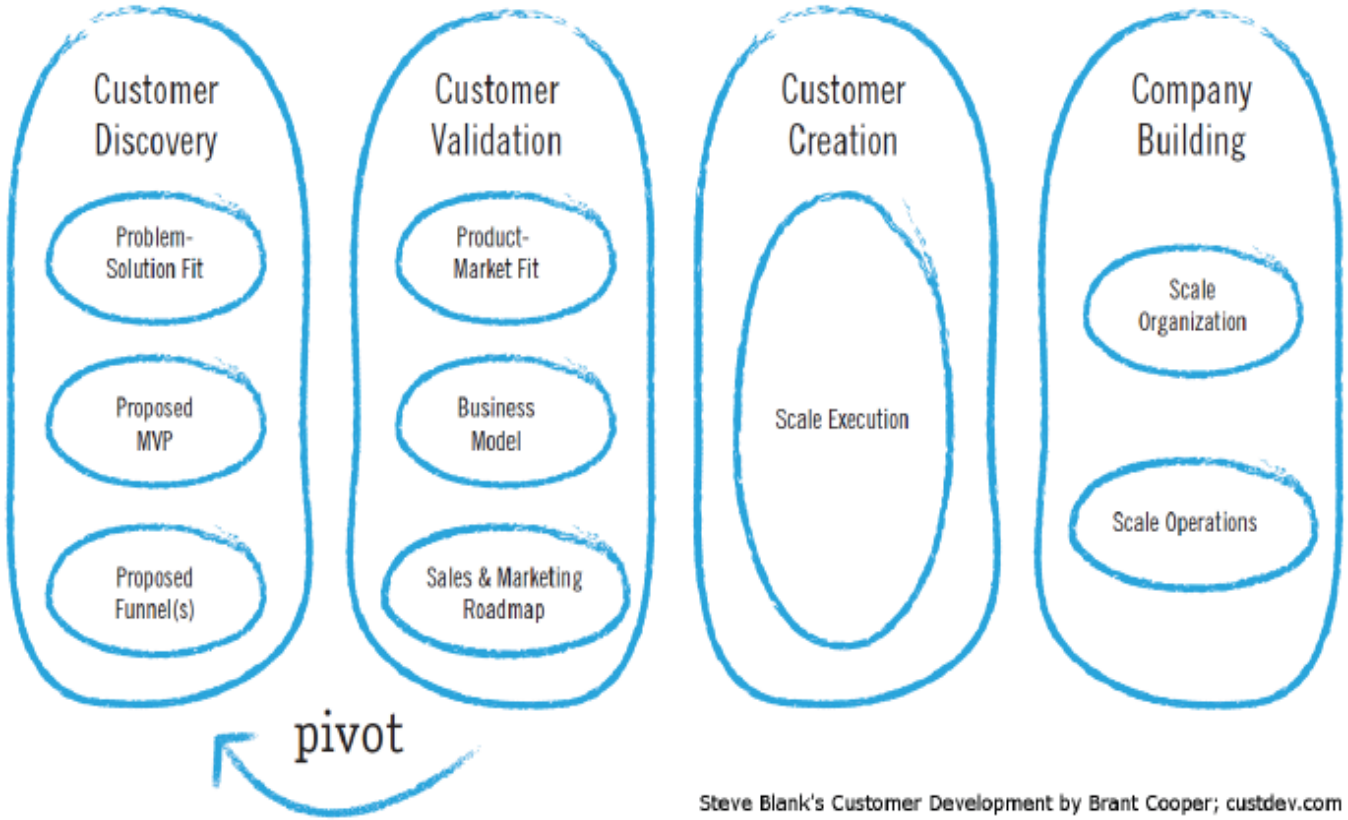
ELEVATOR PITCH



For <target customer>
Who <statement of need>
The <product name>
Is a <product category>
That <product key benefit, compelling reason to buy>.
Unlike <primary competitive alternative>,
Our product <final statement of differentiation>

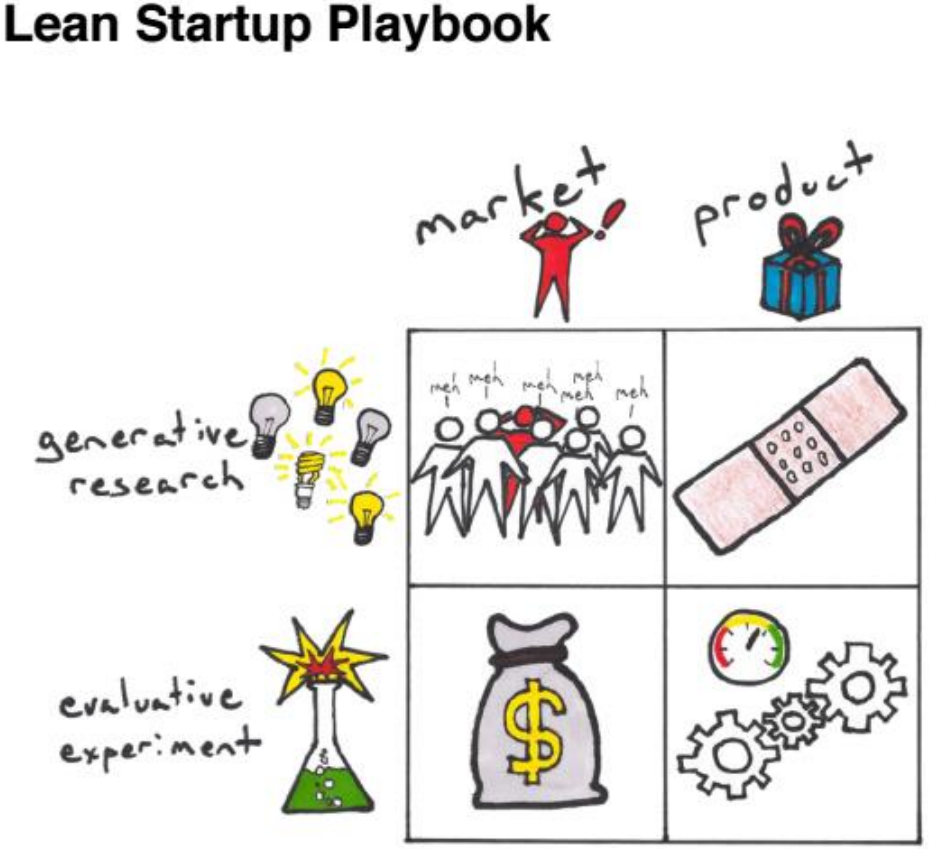
WHERE TO START?





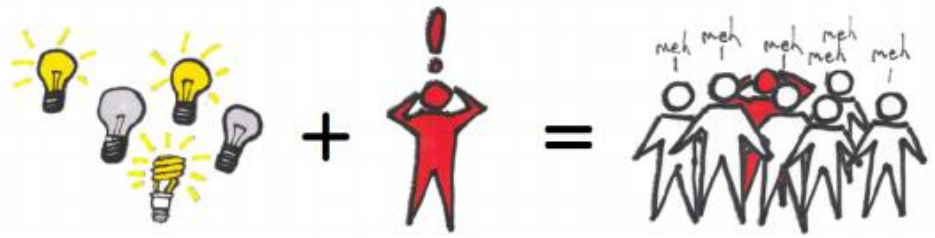
Steve Blank's Customer Development by Brant Cooper; custdev.com

Types of Experiments



Types of Experiments

Generative Market Research



Questions to Ask

- Who is our customer?
- What are their pains?
- What job needs to be done?
- Is our customer segment too broad?
- How do we find them?

Research Techniques

- Customer Discovery Interviews
- Contextual inquiry / ethnography
- Data mining
- Focus groups*
- Surveys* (open ended)

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Types of Experiments

Evaluative Market Experiment



Questions to Ask

- Are they really willing to pay?
- How much will they pay?
- How do we convince them to buy?
- How much will it cost to sell?
- Can we scale marketing?

Experiment Techniques

- 5 second tests
- Comprehension
- Conjoint Analysis
- Data mining / market research
- Surveys* (closed)
- Smoke tests
  - Video
  - Landing page
  - Sales pitch
  - Pre-sales
  - Flyers
  - Pocket test
  - Event
  - Fake door
  - High bar

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Types of Experiments

Generative Product Research



Questions to Ask

- How can we solve this problem?
- What form should this take?
- How important is the design?
- What's the quickest hack?
- What is the minimum feature set?
- How should we prioritize?

Research Techniques

- Solution interview
- Contextual inquiry / ethnography
- Demo pitch
- Concierge test / Consulting
- Competitor Usability
- Picnic in the Graveyard

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Types of Experiments

Evaluative Product Experiment



Questions to Ask

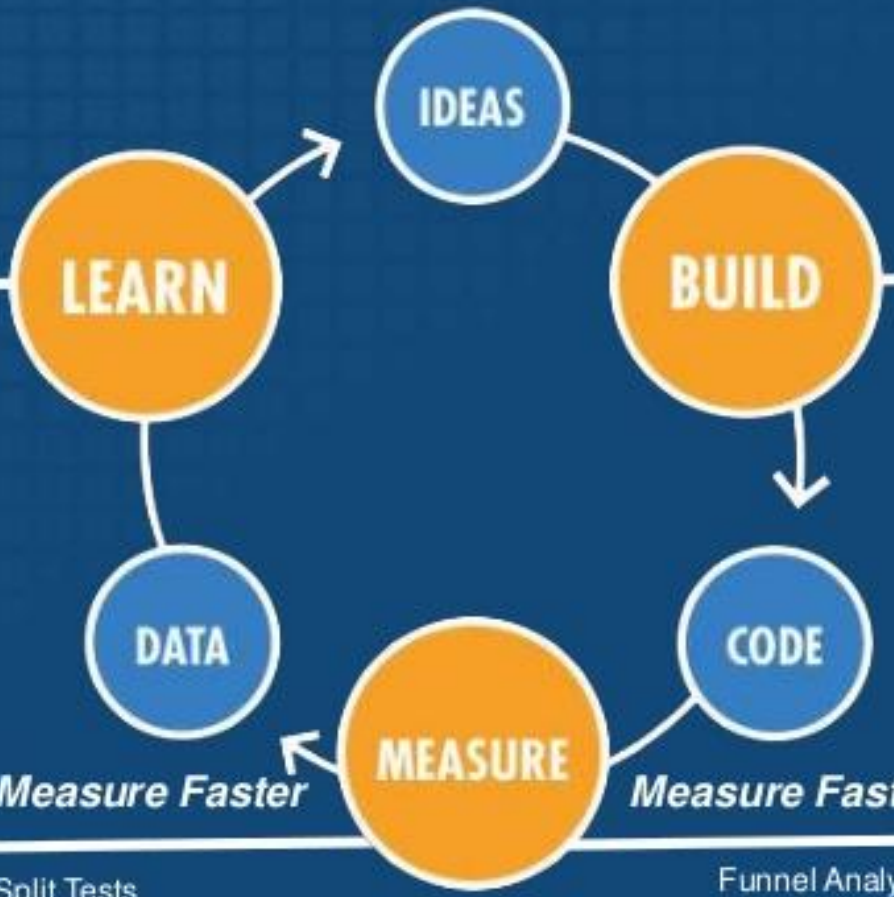
- Is this solution working?
- Are people using it?
- Which solution is better?
- How should we optimize this?
- What do people like / dislike?
- Why do they do that?

Experiment Techniques

- Paper prototypes
- Clickable prototypes
- Usability
  - Hallway
  - Live
  - Remote
- Wizard of Oz
- Takeaway
- Functioning products
- Analytics / Dashboards
- Surveys* (NPS)

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There's much more…



Learn Faster

Split Tests
Customer Development
Five Whys
Customer Advisory Board
Falsifiable Hypotheses
Product Owner
Accountability
Customer Archetypes
Cross-functional Teams
Semi-autonomous Teams
Smoke Tests

Build Faster

Unit Tests
Usability Tests
Continuous Integration
Incremental Deployment
Free & Open-Source
Cloud Computing
Cluster Immune System
Just-in-time Scalability
Refactoring
Developer Sandbox
Minimum Viable Product

Measure Faster

Split Tests
Continuous Deployment
Usability Tests
Real-time Monitoring & Alerting
Customer Liaison

Measure Faster

Funnel Analysis
Cohort Analysis
Net Promoter Score
Search Engine Marketing
Predictive Monitoring

LEAN STARTUP IS NOT...



CHEAP STARTUP
FAST STARTUP
SHORTCUT STARTUP
A GUARANTEE FOR SUCCESS

Scale - Lean Canvas

